# Foreign Relations of the United States 1952–1954

## Volume XIV

## China and Japan

(in two parts)

Part 1




*Editor in Chief*
John P. Glennon

*Editors*
David W. Mabon Harriet D. Schwar

United States
Government Printing Office
Washington : 1985

## No. 150

S/S-NSC files, lot 63 D 351, NSC 146 Series

*Statement of Policy by the National Security Council* [1]

TOP SECRET
NSC 146/2

WASHINGTON, November 6, 1953.

### UNITED STATES OBJECTIVES AND COURSES OF ACTION WITH RESPECT TO FORMOSA AND THE CHINESE NATIONAL GOVERNMENT

[Here follows a table of contents.]

#### OBJECTIVES

1. Maintenance of the security of Formosa, independent of communism, as an essential element within the U.S. Far East defense position. (1-5, 24, 31) [2]

2. An increasingly efficient Chinese National Government, evolving toward responsible representative government and capable of attracting growing support and allegiance from the people of mainland China and Formosa. (2-15)

3. Increased effectiveness of the Chinese National armed forces for action in the defense of Formosa, for raids against the Communist mainland and seaborne commerce with Communist China, and for such offensive operations as may be in the U.S. interest. (25-30)

4. Use of Chinese National military potential, including the availability of Formosa for use of U.S. forces, in accordance with U.S. national security policies. (26-30)

5. Development of a strong and expanding Formosan economy. (42-47)

6. Improved relations between Chinese National Government and other non-Communist nations. (16-23)

7. Continued recognition and support of the Chinese National Government on Formosa as the Government of China and the representative of China in the United Nations and other international bodies, and continued efforts to persuade other nations to adopt similar positions. (22-23)

8. Increased support for the Chinese National Government by all non-Communist Chinese groups outside mainland China and Formosa, especially the overseas Chinese of Southeast Asia, consistent

[1] A covering note of Nov. 6 from Lay to the National Security Council stated that the President had approved the statement of policy, which superseded paragraph 11 of NSC 48/5. It also noted that an NSC staff study (see enclosure, below) was enclosed for the Council's information.

[2] A note on the source text states that parenthetical references are to paragraphs in the staff study.

with their obligations and primary allegiance to their local government. (18–23)

COURSES OF ACTION

*Military*

9. Effectively incorporate Formosa and the Pescadores within U.S. Far East defense positions by taking all necessary measures to prevent hostile forces from gaining control thereof, even at grave risk of general war, and by making it clear that the United States will so react to any attack. (24)

10. Without committing U.S. forces, unless Formosa or the Pescadores are attacked, encourage and assist the Chinese National Government to defend the Nationalist-held off-shore islands against communist attack and to raid Chinese Communist territory and commerce. (24–25)

11. Encourage and covertly assist the Chinese National Government to develop and extend logistical support of anti-communist guerrillas on the mainland of China, for purposes of resistance and intelligence. (24–25)

12. a. Continue military assistance beyond Fiscal Year 1954 to assure the completion of present programs designed to develop an army of approximately 350,000 capable of limited offensive operations; a small navy capable of conducting limited coastal patrol, anti-shipping, and commando operations; and an air force designed to provide limited air defense, troop support and interdiction capabilities. Such forces (1) without U.S. air, naval and logistic support, would be able to undertake more effective raids against the Communist mainland and seaborne commerce with Communist China; (2) without U.S. air, naval and logistic support, but to an even greater extent with such support, would continue to represent a threat to Communist China and add significantly to the strategic reserves potentially available to the free world in the Far East; (3) while not alone able successfully to defend Formosa or initiate large-scale amphibious operations against the mainland of China, would, with U.S. air, naval and logistic support, have an increased capability for the defense of Formosa and be able to initiate such large-scale amphibious operations. * (26–29, 34–41)

b. Keep U.S. military assistance to Formosa under continuing review in the light of the development of Japanese forces and possible political settlements in Korea and Indochina. (25)

* This subparagraph is subject to review in the light of recommendations by the Department of Defense regarding Chinese Nationalist force levels and the rate of military assistance to be provided the Chinese National Government beyond Fiscal Year 1954. [Footnote in the source text.]

13. Continue coordinated military planning with the Chinese National Government designed to achieve maximum cooperation from the Nationalists in furtherance of over-all U.S. military strategy in the Far East, subject to the commitment taken by the Chinese National Government that its forces will not engage in offensive operations considered by the United States to be inimical to the best interest of the United States. (32–33)

14. Encourage and assist the Chinese National Government, through such means as off-shore procurement and technical advice, to construct and maintain on Formosa selected arsenals and other military support industries. (55)

15. Maintain the right to develop facilities on Formosa for use by U.S. forces and agencies in the event of need. (24, 31)

*Political*

16. Strive to make clear to the Chinese National Government that its future depends primarily upon its own political and economic efforts and upon its ability to command the respect and support of the Chinese people. Meanwhile, continue efforts to show our continuing friendship for the Chinese National Government and the Chinese people, while avoiding any implication of U.S. obligation to underwrite the Government or to guarantee its return to power on the mainland. (2–15)

17. Continue to recognize and encourage other governments to recognize the Chinese National Government on Formosa as the Government of China and to support its right to represent China in the UN and other international bodies. (22–23)

18. Continue to encourage the Chinese National Government to take all possible steps to attract growing support and allegiance from the people of mainland China and Formosa. (10–15)

19. To the extent feasible, encourage the Chinese National Government to establish closer contact with the Chinese communities outside mainland China and Formosa and to take steps to win their sympathy and their support to the extent consistent with their obligations and primary allegiance to their local governments. Encourage the leaders of these communities to reciprocate by extending such sympathy and support to the Chinese National Government as a symbol of Chinese political resistance to communism and as a link in the defense against Communist expansion in Asia. (18–23)

20. While continuing to manifest U.S. confidence in and support of the Chinese National Government, permit U.S. officials as appropriate to maintain discreet contact with anti-Communist Chinese groups outside Formosa which continue to reject cooperation with the Chinese National Government, and without making com-

mitments of U.S. support, encourage such groups actively to oppose communism. (2–3, 15)

21. Seek to enhance the Chinese National Government's political appeal and to increase its administrative efficiency. (3–15)

22. Continue to press through diplomatic channels for the repatriation to Formosa of Chinese Nationalist personnel from Burma. If transportation is not available consider U.S. logistic support to repatriate such Chinese Nationalist personnel to Formosa. (18–21)

*Economic*

23. Continue to provide limited economic aid to Formosa in such a manner and of such a scope as to promote U.S. objectives in the area; but plan gradual reduction and eventual termination of such assistance, bearing in mind, however, that some economic aid will probably be required so long as the present military programs are continued. (6, 42–44)

24. Continue to assist the Chinese to plan the most productive use of their resources on the island and to make them available to the free world. (45–47)

25. Continue to emphasize and to implement examination and consultation with the Chinese concerning proper fiscal procedures and to curb tendencies toward excessive demands by the Chinese National military establishment on the economy of Formosa. (55–56)

26. Continue to exert the influence of the U.S. Government to modify programs which run counter to prudent advice on economic and fiscal procedures offered to the Chinese by U.S. representatives. (42–47, 50–52)

27. Assist the Chinese National Government to develop a well-balanced foreign trade which will meet the needs of the Formosan economy after the termination of U.S. economic assistance. (44–47)

28. Encourage the Chinese National Government to adopt policies which will stimulate the investment of Chinese and other private capital and skills for the development of the Formosan economy. (43–47)

*Psychological*

29. Develop Formosa as an effective base for psychological operations against the mainland, along lines which support U.S. policy objectives, and in collaboration with the Chinese National Government when appropriate. (2–5)

[Here follows a Financial Appendix showing in tabular form the amounts programmed for military and economic assistance to Formosa and the total value of the actual and projected assistance to Formosa during fiscal years 1951–1956; see footnotes 15 and 16, Document 147.]

[Enclosure]

## NSC Staff Study on United States Objectives and Courses of Action With Respect to Formosa and the Chinese National Government

### POLITICAL ANALYSIS

*Introduction*

1. The central problem facing the United States in the Far East is the threat to U.S. and free world security resulting from the establishment of control over China by an aggressive and dynamic regime closely aligned with and supported by the Soviet Union as an effective instrument of Soviet policy. As the solution of the problem of Communist China is paramount to the restoration of security in Asia, U.S. policies and courses of action with respect to Formosa and the Chinese National Government must be formulated in such a way as to contribute to the solution of this problem. Politically, the Chinese National Government's role as an instrumentality for the solution of the China problem is unique. It is unique because it is Chinese, and thus presents a political alternative to Chinese Communist rule which no foreign power, including the United States, can supply to the Chinese people.

*The Chinese National Government as a Political Force*

2. The United States shares with other free nations a stake in the development of a potent non-Communist Chinese political leadership. U.S. security interests are threatened not only by hostile military power on the China mainland but also by hostile and dynamic political power. Just as the aggressive threat of the Communist regime is by no means confined to military force, so too it cannot be successfully contested by military force alone. Nor should U.S. reliance be placed solely upon the development of non-Chinese political counterforce. Because ultimately the roots of Chinese Communist political power must be attacked by the Chinese themselves, it is essential to foster and support non-Communist Chinese political movements. This is the most effective way of preventing the Peiping regime from monopolizing the tremendous strength of Chinese nationalism and thus converting the Chinese people into enemies of the free world, as well as the only means of providing the Chinese with a positive alternative to Communist rule. U.S. interest in the Chinese National Government is, therefore, not confined to the strategic importance of Formosa and the potential usefulness of its armed forces, but extends also to its importance as an essential weapon in the continuing political struggle with the Communist world, especially the Chinese segment of it.

3. Possessing a secure physical base, a well-developed organization, and a significant and slowly growing following, the Chinese National Government, together with its subordinate provincial and local organizations, represents the only effective non-communist Chinese political force in being. That it exists, and has in the past three years demonstrated a capacity to make progress, is more significant than that it has many defects.

4. While the Chinese National Government is at present the only Chinese political force which can qualify as an essential weapon in the political struggle against communism, and on that basis merits our primary support, it cannot be assumed that it will always remain the only (or even the most) effective Chinese force of this kind. The overthrow of the Peiping regime will hardly become a feasible proposition for the Chinese people until more positive and organized political, albeit covert, opposition to it on the mainland has developed than is now evidenced. Moreover, in view of the disparity of military capabilities between the mainland regime and the Chinese National Government, it is difficult to conceive of any successful movement against the Peiping regime without important defections from it. It cannot be determined now to what extent mainland underground political leadership and potential Communist defectors would support the present Chinese Government on Formosa. In any case, without their cooperation it is unlikely that the Government could successfully regain control of the mainland. In these circumstances it would be premature for the United States to commit itself irrevocably to this objective.

5. In the meantime, however, the Chinese National Government remains the only effective Chinese political force to which we can give support, and the advantage of its existence, especially if its political appeal and military capabilities continue to increase, in the political struggle with the Communists is sufficient justification for aiding it despite uncertainties as to its future on the mainland.

6. In providing military and economic assistance to the Chinese National Government, however, the United States faces a political dilemma which cannot be wholly solved as long as it is necessary to continue such assistance, but which can be mitigated. This is the dilemma of simultaneously ensuring that the aid is used in a manner consistent with U.S. objectives, which entails the exercise of a certain measure of supervision and control over important segments of the Chinese Government, while at the same time preserving a maximum degree of Chinese independence and self-reliance. Although this dilemma cannot be entirely resolved, it should not be ignored, for the manner in which it is dealt with affects significantly both our relations with the Chinese Government and that

Government's standing in the eyes of the Chinese and of the world at large.

7. The Chinese Government needs and welcomes U.S. aid, and probably to a considerably lesser degree it welcomes U.S. advice, but it merely tolerates controls and supervision by U.S. agencies as the price of receiving aid. Military and economic dependency upon a foreign power is most unpalatable to any people, especially to the Chinese who for centuries have regarded themselves as a superior race. The situation of dependency cannot help but breed resentment against the aid-giver. The more outward manifestations of this dependency there are, the greater the subsurface reaction of resentment, which manifests itself in ways inimical to U.S./Chinese Nationalist relations. Thus, the Chinese become particularly sensitive to any kind of advice or suggestion made on a high level, especially when this becomes public knowledge.

8. Another unfortunate psychological reaction provoked by prolonged dependency on aid programs is the tendency of the aid-receiver increasingly to shift responsibility (particularly blame) for difficult situations to the shoulders of the aid-giver. This tendency has been manifest on the part of the Chinese National Government and it undermines both the self-confidence and self-reliance of the Government. To the extent that it does this that Government is weakened and becomes less of an asset to the Chinese people and to the free world in the struggle against communism. Viewed in this light Chinese efforts toward greater self-reliance are advantageous not only to the American tax payer but also to the free world as a whole.

9. A further important political consideration in connection with the problem of the Chinese Government's dependency upon the United States is the effect upon the former's prestige, and thus its political appeal. The concept of Formosa as a U.S. base does not hold any political appeal for the Chinese people, necessary as the base may be for stemming the tide of Communist aggression; but the concept of Formosa as the seat of an independent and self-reliant Chinese Government could exercise a powerful political appeal. Moreover, the prestige of the Chinese Government on Formosa is compromised in the eyes of many free world countries due to their belief that it is incompetent and unable to conduct its own affairs. Thus any progress which can be made towards increasing the manifestations of the Chinese National Government's ability to run its own affairs tends to increase its prestige in the eyes of the world and its political appeal to the Chinese people.

10. While the strength of the political leadership of the Chinese National Government depends primarily on its own efforts, and its achievements in this respect will be the principal factor determin-

ing its future role on the mainland, the United States is in a position to give the Government guidance and assistance in the political field in order to increase its confidence and enhance its prestige and political appeal. However, it is important to recognize the limitations of the U.S. role in promoting political reform.

11. These considerations are pertinent: (1) whatever the merits of the present leadership there is no practical alternative to it, in the short run at least, and therefore political reform projects must be planned accordingly; (2) presentation of a blanket political reform program would arouse the deep suspicions of the leadership and could not be implemented without obvious and large-scale U.S. intervention; such intervention would tend to nullify the advantages of any reform it might achieve by giving Formosa the appearance of a U.S. colony rather than the seat of a regenerate Chinese Government.

12. Political reform, as military and economic reform have been, can be approached on an empirical basis, involving careful selection of individual problems based on an analysis of the importance of the solution of the problem to increasing both the efficiency of the Government and its political appeal to the Chinese people. The chances of receiving the leadership's cooperation by presenting reform projects in terms of Chinese self-interest are probably much better than if this end is sought by threats to reduce our aid programs in case our advice is not taken, although the political leverage afforded the United States by such programs should not be overlooked. However, any assumption that the Chinese Government will consent to any given U.S. request, especially in the political field, as a result of U.S. pressure, even if aid is greatly expanded, is unwarranted.

13. The present leadership of the Chinese National Government is composed largely of men who led the successful Chinese Revolution of the 20's, and of their political scions. To meet the political challenge of today, many of these men are still calling on political ideas and following political practices which failed them yesterday. This rigidity of political outlook is fostered by the one-party character of the Government. Unfortunately, many of these young leaders who are now gradually succeeding the old are cast in the same political mold and are little more suited to inject the Government with political vitality than their elders in the Party. There are encouraging exceptions, however, and the situation has slowly improved, especially during the last two years.

14. The political appeal of the Chinese National Government would be enhanced and its ability to deal with political problems on the mainland would be increased if an environment which stimulates rather than stifles new political growth could be created on

Formosa. Thus, the Chinese Government should adopt policies which will permit greater freedom of action for anti-Communist, non-Kuomintang political groups. Leaders of such groups in Hong Kong and among overseas Chinese should be encouraged and be enabled to come to Formosa to indulge in constructive political activities. If such policies were adopted, these leaders might be inclined to offer their support and cooperation to the National Government as a means of achieving a stronger and more united Chinese opposition to communism.

15. On the other hand, while non-Kuomintang Chinese groups should by all means be discouraged from efforts to undermine the Chinese Government, undue pressure should not be placed on such groups to adhere to the Chinese Government, in recognition of the fact that in some instances they may be able to maintain contacts with anti-Communist opposition groups on the mainland more readily than if they were aligned with the Chinese National Government. Thus, it would appear advantageous for the United States to permit its officials, as appropriate, to maintain discreet contact with such individuals and groups, and where it appears that some potential exists for effective anti-Communist activity, to encourage them.

*The Foreign Relations of the Chinese National Government*

16. Formosa is important not only to U.S. off-shore defense but also to the security of other Pacific countries, particularly Japan, the Philippines and Hong Kong. It is thus to their interest that it remain in friendly hands. Open support for the U.S. policy of denying Formosa to the Communists may be expected to continue from some Pacific powers which recognize the Chinese National Government, such as the Philippines, Japan and Thailand, and tacit support from others, including some recognizing the Chinese Communist regime; e.g., Great Britain.

17. Nevertheless, the inclusion of Formosa in a regional defense arrangement does not at present appear practicable due (1) to the non-recognition of the Government by some Pacific countries; (2) to the serious doubts both as to its present and potential effectiveness by some which do recognize it, e.g., Australia and New Zealand; and (3) to reluctance on the part of other countries to make formal military commitments to the Chinese National Government, given that Government's ultimate objective with respect to China. While there are advantages of a coordinated defense arrangement among the non-communist countries of the Far East, particularly if we are willing to underwrite it, and while such an arrangement might well represent an ultimate objective of the United States in the area, certain political developments must take place to improve re-

lations of the Far Eastern nations before it can become a practical immediate objective.

18. The posture and conduct of the Peiping regime probably have a more decisive effect on Chinese Nationalist relations with other countries than has Chinese Nationalist or U.S. policy. Nevertheless, the Chinese National Government and the United States can also influence these relations through their own policies. Many free world countries are still ignorant of the salutary changes in the Chinese National Government since it was driven from the mainland and of the improvements which have taken place on Formosa. The most important of these improvements have been in the direction of fiscal honesty, sounder budgetary practice, fewer evidences of nepotism, freer self-criticism, more participation in government on local levels (including native Formosans) and land reform geared to return of some government-owned industries to private ownership, in addition to the more tangible improvements in the potential of the military establishment. The combined result has been an appreciable heightening of morale and an increased readiness to assume responsibility on the part of the Government—in other words, a diminution of the "pawn complex", which was so apparent from late 1949 to about the middle of 1951. Recognition of these improvements, coupled with evidence of further progress, particularly to the extent that it comes about through Chinese rather than U.S. efforts, would go far toward increasing the Chinese Government's prestige in the eyes of other non-Communist governments and would have a favorable effect upon its relations with such governments.

19. The Chinese Government's relations with Far Eastern countries having large Chinese minorities could also be improved by a more cooperative approach to the problem of these minorities on the part of both the Chinese National Government and the other governments concerned. The traditional position of the Chinese minorities in these countries has been changed greatly by two major post-war events: (a) the emergence of independent governments in most of the Southeast Asian countries—Philippines, Indonesia, Burma, Vietnam, and (b) the seizure of the China mainland by the communists. Both of these developments have greatly increased the urgency of integrating the Chinese minorities more effectively into the foreign societies in which they dwell.

20. While the pre-war Western colonial empires could tolerate large unassimilated Chinese minorities in their Asian colonies, the small and insecure Asian Governments which have now succeeded to power in these colonial areas cannot tolerate them. Moreover, the Chinese minorities themselves have been for the first time to a large extent cut off from their homeland as a result of the "bamboo

curtain" which has been rung down by the Communist regime. Meanwhile that regime is attempting to convert them into fifth columns against the governments of the countries in which they dwell.

21. The Chinese National Government can play an effective role as a political counterweight to Chinese Communist influence in the overseas Chinese communities, but it can also do considerable harm if it fails to take into account the changed position of the Chinese minorities which has resulted from the two developments mentioned above. The Chinese National Government must play its role, therefore, in close cooperation with the other governments concerned if it is to be effective. By playing its role in this manner the Chinese National Government can realize substantial benefits by way of political and financial support from these important overseas Chinese groups, while simultaneously lessening the Communist capability of utilizing the overseas Chinese for subversive purposes. U.S. objectives would thus be fostered by encouraging the Chinese National Government to take an active, though discreet, interest in overseas Chinese affairs.

22. Despite the best efforts of the Soviet Union and its satellites, the Chinese National Government has retained its seat as the rightful representative of China in all UN bodies in which China is represented and it has continued to be recognized by the majority of the world's nations. The vigorous support of the United States has been an important factor in this record and its continuance is essential. The continued seating of the Chinese National Government in UN bodies is necessary not only to counteract the increase of Communist influence in international councils, but also to preserve and enhance the Chinese National Government's prestige in the eyes of the Chinese people.

23. While continuing to support the seating of the Chinese National Government in the UN, that Government should be encouraged to meet its obligations to the UN as fully as its straitened circumstances will permit, and to evince at every opportunity its sincere belief in UN principles and objectives and in the advantages of international cooperation, thus posing the maximum favorable contrast to the hostile and uncooperative attitude of the Peiping regime.

MILITARY ANALYSIS

*Strategic Importance of Formosa*

24. Geographically, Formosa and the Pescadores are a portion of our off-shore defense positions. † Their retention in friendly hands is essential to the conduct of air and naval operations in the defense of these positions. Mere neutralization of these islands would not meet U.S. military strategic needs, because it would: (1) considerably improve the Chinese Communist strategic position by permitting the release of some of their defense forces for build-up elsewhere and at the same time; and (2) substantially reduce our own strategic position in the area by restricting freedom of action in the event the military situation requires an attack against the Chinese Communists on the mainland. Military developments may at a later date necessitate the use of these islands by the United States or the Chinese National Government as a base for the conduct of offensive operations against the Chinese Communists. For these reasons it would be in the U.S. interest to incorporate Formosa and the Pescadores within U.S. Far East defense positions by taking all necessary measures to prevent hostile forces from gaining control thereof, even at grave risk of general war.

*Importance of Developing the Capabilities of the Chinese National Armed Forces*

25. From a military standpoint there are valid reasons for the development of the capabilities of the Chinese National Armed Forces. The National forces on Formosa constitute the only visible source of manpower for extensive guerrilla operations in China and for possible invasion of the mainland, should developments such as overt Chinese Communist intervention in Indochina, or a renewed aggression in Korea, make large-scale U.S. action against China necessary. The maximum feasible development of the National Forces would constitute a sorely needed general military reserve in an area where Western Allied manpower is at present greatly outnumbered by Communist forces. Such a development would further an important objective of NSC 162/1, [3] which seeks to develop indigenous ground forces to counter local aggression. The existence of an indigenous force on the order of half a million men, maintained at a minute fraction of the cost of an equivalent number of U.S. divisions and trained and equipped for operations against Chinese

† Japan, Ryukyus, Formosa, Philippines, Australia and New Zealand. [Footnote in the source text.]

[3] NSC 162/1, "Review of Basic National Security Policy," Oct. 19, 1953, had been amended and adopted by the National Security Council and approved by the President as NSC 162/2 "Basic National Security Policy," Oct. 30, 1953; for documentation on the NSC 162 Series, see vol. II, Part 1, pp. 489 ff.

Communist held territory (especially when considered in the light of U.S. capabilities to transport, supply and support these forces) would pose a threat to communist security and compel the Communists to deploy sizable forces to cope with it. Such deployment would be at the expense of Chinese Communist capabilities elsewhere and be a factor in their consideration of possible future aggression in Asia. Furthermore, the development of the Chinese National Forces represents a logical and necessary step in the reduction of the relative power position of Communist China in Asia through the development of the military strength of non-Communist Asian countries as envisaged in NSC 166.

*Limitations on the Maximum Development of the Chinese National Military Potential*

26. The problems inherent in any plan to develop substantial military forces on Formosa are numerous and involved. They touch upon the matter of leadership and command, troop replacement, priorities for MDAP assistance, magnitude of U.S. aid programs (both economic and military), ability of the National soldier, sailor and airman to absorb training and physical limitations of training facilities.

27. The requirement for a replacement system is a serious problem and, if an adequate solution is not found, will in the future become increasingly serious. There are perhaps 150,000 available former mainland Chinese civilians now on Formosa who could meet the physical requirements for military service. Alone this constitutes an inadequate source of recruitment. For the long term, the most logical source of military manpower is the native population of Formosa. If assured of fair treatment, and if Formosans were adequately represented in the officer corps, the Formosan people would probably not resist conscription and could furnish between 450,000 and 650,000 able-bodied males in the 15–29 year age groups. However, the effective and extensive use of Formosan manpower, particularly for operations outside Formosa, could be assured only after a further dissipation of the native antipathy to the Nationalists. Directly related to this problem is the reluctance of the National Government to arming substantial numbers of Formosans and to giving them equality of opportunity within the officer corps. Some progress is being made toward a solution of this problem. Its final solution is ultimately connected with steps now being taken to improve relations between the Nationalist regime and the Formosan people.

28. The size and scope of U.S. military aid programs have a direct bearing on the rate and degree of the Chinese National military development. In FY 1951–1953 the U.S. programmed some

382.9 million dollars for the military development of Formosa. About 284 million dollars of economic aid was programmed. To date these programs have made possible the development of a reorganized 21-division army (about 10,000 men per division) with an estimated combat effective rating of about 40% (by U.S. standards), a small navy about 40% effective, and a small air force about 35% effective. The program proposed for FY '54 should materially increase the combat capability of these forces. If a program on the order of 300 million dollars is provided in the FY '55 appropriations, the financial support for a combat ready force of about 21 divisions with a 90-day reserve supply of ammunition and equipment will have been provided. These funds will also provide for the completion of an air force program calling for 8 2/3 wings of aircraft of which 4 1/3 wings will be jet equipped, and a navy materially strengthened in the destroyer category, giving the latter an increased capability for blockade operations. It is estimated the annual cost to the United States of supporting these forces (exclusive of economic aid) beginning in FY 1956 will be about 140 million dollars (including 30 million for common use items).‡

29. Formosa at present ranks below Korea, Indo-China and D-day NATO forces on a priority basis. Assuming a continuation of the armistice or a political settlement in Korea, the build-up provided for in the suggested programs through FY 1955 for Formosa will probably be attained well before the original estimate made [of attainment?] in the spring of 1956. Upon completion of this program, the Chinese National Government should have an army of approximately 350,000 capable of limited offensive operations and possessing a 90-day reserve of ammunition, a small navy capable of conducting limited coastal patrol, anti-shipping and commando operations and an air force designed to provide limited air defense, troop support and interdiction capabilities. Such forces would not enable the Chinese National forces to successfully defend Formosa or initiate large-scale amphibious operations against the mainland of China without U.S. air, naval and logistic support. However, these forces would be able to undertake sustained brigade-size amphibious operations§ against Communist-held territory and raids against communist seaborne commerce utilizing their own forces. Theoretically these forces will be equipped and ready for unop-

‡ Smaller appropriations for FY 1955 would delay but not necessarily disrupt the described build-up. The program could be stretched out to provide for completion at a later date if circumstances required. [Footnote in the source text.]

§ Combat consumption of ammunition and supplies would rapidly deplete the 90-day reserve of any unit engaged in such operations necessitating a diversion of replacement supplies from other units and subsequent resupply from the U.S. [Footnote in the source text.]

posed amphibious operations of perhaps two-division size. In actuality, however, logistic inadequacies will reduce these capabilities to brigade-size operations. If the United States were to undertake to support the landing operations with landing craft now in Korean waters, and supply them for as long as necessary while providing adequate air, and naval support, perhaps as many as 3 divisions of about 12,000 men each could be utilized at one time. Additional lift brought in from other areas would further increase their capabilities. Such an operation might be profitable in the event the Korean or Indo-chinese war expands beyond present limits. It is anticipated these forces would be at their best if used against the Chinese mainland, for the strong desire of the Nationalists to return to the mainland would be reinforcing their efforts.

30. The rate at which the Chinese soldier, sailor or airman can absorb modern technological training has also been a limiting factor in the development of the military potential of the National forces. This has been especially true of the navy where the rate of flow in general of MDAP items has been adequate to fully utilize the capabilities of the Chinese Navy to receive, identify, allocate and utilize the material. At present U.S. Naval instructors are emphasizing both underway and school type training. In the air force both Zone of the Interior and on-the-job training programs have been quite successful in raising the general level of proficiency of technicians and air crews. The transition from piston to jet fighters is being made in an orderly manner. In the army, steady and continuing improvement is being made with some deficiencies still noted in the professional capabilities of officers and key non-commissioned officers. The relinquishment to junior officers of some of the centralized control now held by senior officers, would improve the situation materially. Very marked improvement has been noted in the past year in the field artillery. The Combined Service Forces, whose mission is to support the armed forces logistically, has retained limited capabilities (about 20% effective by U.S. standards at present), due to the fact that technical training has been a slow process. Their ability to sustain combat operations is very limited and probably will continue limited for some time to come despite U.S. training efforts.

*Present Vulnerability of Formosa*

31. The arrival of jet aircraft this year has improved the capabilities of the Nationalist Air Force to defend Formosa. Nevertheless U.S. air support is still necessary to insure the defense of Formosa against large-scale Communist attacks. At the present time no U.S. jet fighters are based on Formosa to carry out our announced intention to defend it. Furthermore, the Chinese National anti-air-

craft units have a very limited capability at the present time, although recent measures to speed up the delivery of anti-aircraft material should improve the situation. Aircraft carriers now in Korean or Japanese waters would probably have to be rushed to Formosa in the event of sustained communist jet air attacks. For this reason it appears desirable to maintain the right to develop facilities on Formosa for the use of U.S. forces in the event of need. Such facilities include, among other things, POL storage and spare parts supply depots for the use of U.S. air and naval forces which might be engaged in the defense of the island at a later date.

*Coordinated Military Planning*

32. The increasing development of the military potential on Formosa raises the question of the proper utilization of this potential in the political and military struggle now going on in the Far East. Until recently the United States had exacted no assurances from the National Government of China that these forces would not be used in a manner inimical to the best interests of the United States. While Chiang has agreed to clear all plans for sizable operations against the Communists with the United States, the larger problem of the use of these forces in operations which the U.S. may wish to undertake at some future date still remains unsettled.

33. Without minimizing the difficulty of getting any military commitments out of Chiang, it seems clear that the United States should seek to insure the maximum cooperation of the Nationalists in the furtherance of over-all U.S. military strategy in the Far East.

*Consequences of and Reactions to the Proposed Military Program*

34. *Present Chinese Communist reaction.* The Chinese Communists are certainly already aware, through their intelligence operations on Formosa and elsewhere, of the general scope of U.S. military assistance to the Chinese Nationalists. They have not evidenced any serious concern over this build-up, but they have been gradually strengthening their defenses in the East China coast area. Defensive installations are being built along the coast, anti-aircraft artillery is being installed around key centers, and the recent rotation of combat-seasoned troops into East China from Korea, with at least some of their modern and heavy weapons, has improved the quality of the forces in the coastal area.

35. *Probable Chinese Communist reactions.* Shanghai and Canton are the only substantial strategic targets along or within ready striking distance of the East China coast. Hence, the direct military results of Nationalist ground operations would almost certainly be limited, even should the Nationalists secure temporary lodgments. Furthermore, the Chinese Communists probably rate Na-

tionalist capabilities as fairly low at present; Peiping probably believes that the Chinese National Government desires to conserve its limited military manpower until such time as circumstances offer assurances of U.S. support for an invasion of the mainland, in which neither objectives or support are limited. The Chinese Communists would not, therefore, be seriously concerned about the direct military threat of Chinese Nationalist raids or temporary lodgments. They would be sensitive however, of U.S. intent to provide large-scale support of these forces in such operations.

36. The possible political effects of large-scale Nationalist raids would cause Peiping some concern. Although mainland guerrilla strength is currently estimated at 50,000 or less (on the basis of scanty evidence), there is undoubtedly substantial latent unrest in South and East China, the areas directly threatened, and if internal Communist stability were to deteriorate over the next two years (now estimated as unlikely) successful Nationalist operations, gaining even a temporary lodgment, might set off a wave of defection, at least in the immediate area. Moreover, the fact that the Chinese Nationalists on Formosa retained sufficient strength to secure temporary lodgments on the mainland would belie Peiping's propaganda on the "weakness" of the "Kuomintang remnants" and possibly stiffen passive resistance to the regime throughout mainland China.

37. As Nationalist strength increased, therefore, there probably would be a step-up in Communist defensive measures along the East China coast, including the deployment of additional troops. Unless the Nationalist raids actually induced considerable defection, it is doubtful if the redeployment would affect the strength of Communist forces in other key areas such as Korea or along the border of Indochina, since there are large numbers of troops in central China that could be moved towards the coast. Such measures would tend to increase the strains on the Chinese Communist economy, but would not be of major importance in this respect. To meet the air threat from Formosa, the Chinese Communists would probably deploy additional MIG-15's, TU-2 piston light bombers and perhaps IL-28 light jet bombers into the area between Shanghai and Canton. Ample air reinforcements, including IL-28's, will almost certainly be readily available without reducing present strength in Manchuria and Korea.

38. *Effect of an impression of U.S. assistance.* The Chinese Communists may believe, on the basis of past and current U.S. official statements and activities on Formosa, that the United States is attempting to develop forces and bases on Formosa in preparation for future combined US-Nationalist operations against the mainland. Their current activities do not indicate, however, that they regard

such operations as an imminent threat, and their future reactions are likely to depend on estimates, which would probably be quite realistic, of the capabilities of the forces on and about Formosa. If, as a result of a significant build-up of U.S. naval and air forces at bases in or near Formosa and other indications, the Chinese Communists became convinced that the United States was prepared to support directly with such naval and air forces the Nationalist force in an invasion of the mainland, the Chinese Communists would almost certainly affect major redeployments of their ground and air forces in order to counter the threat. Such a redeployment probably would not cause a reduction in the number of troops in Korea. If this situation coincided with a period in which large replacements were required in Korea, however, serious strains might be placed on available trained military manpower and on the transportation system.

39. *Summary.* In the absence of large-scale defection or a belief in imminent U.S. air and naval support, the implementation of the program for strengthening Nationalist China's military capabilities would not compel the Chinese Communists to materially weaken their forces in Korea and would probably not, by itself, induce the Chinese Communists to seek a settlement of Korean or other issues with the United States. However, the development of a trained force of 350,000 on Formosa, along with an increased Nationalist air and naval capability, would represent a threat to the East China area which the Chinese Communists would have to counter by the commitment of strong ground and air forces in the area. Peiping's calculations with respect to present and future military operations would then be affected by the necessity of maintaining such a defensive military posture along their threatened coastal border.

40. *Soviet reaction.* U.S. assistance to the Nationalist forces on Formosa has produced no important reaction from the USSR thus far, although consideration of the potential threat may well be a factor influencing the extent of Soviet material and advisory assistance to the Chinese Communist air, ground, and naval forces. The USSR will undoubtedly watch developments on Formosa closely, especially for indications of a U.S. intent to provide air and naval support for Nationalist attacks on the mainland. The USSR would probably attempt to provide Communist China with the necessary military material to counter such combined operations.

41. *Non-Communist reaction.* Non-Communist reaction to the U.S. effort to develop Nationalist military capabilities has generally been unfavorable. Western European nations have been sensitive to any U.S. policy which involved the possibility of extended hostilities in the Far East or a diversion of U.S. resources to Asia.

There has been a widespread belief in Western Europe, the Middle East, South Asia, and Southeast Asia that Chiang Kai-shek and his government are vestiges of the past which few mainland Chinese would be willing to support if they attempted to return to the mainland. Important Southeast Asian opinion, in addition to believing that Chiang has no future on the mainland, fears that Nationalist operations might develop into general war in the Far East which might envelop Southeast Asia. Japan, while desiring to split Communist China off from the USSR, or otherwise reduce the power of Far Eastern communism, has been apprehensive lest U.S. support to the Nationalists result in a serious reduction of U.S. strength available to defend Japan. These various attitudes may change if the Nationalist Government can increase its prestige through effective administration of Formosa, if the Communists persist in refusing to make a settlement in Korea or if they expand their military pressures, and if non-Communist governments come to believe that Chiang's forces can perform a valuable service merely by their existence as a threat on Formosa.

## ECONOMIC ANALYSIS

*Current Situation*

42. Formosa had a population in 1949 of over 7.0 million, which has increased to approximately 9.2 million by natural growth plus the arrival of the Chinese National Government, armed forces, dependents and other refugees from China.

43. The economy of Formosa suffered severely from war damage and the disruption of traditional trade patterns; but the combination of its rich resources and the vigor of recent efforts at economic rehabilitation would by now have sufficed to make the island self-supporting and relatively prosperous were it not for the burden of the Chinese National Government and its armed forces. The imposition of these two million mainland Chinese and the necessity of maintaining a military establishment of half a million men severely strain Formosa's domestic and foreign exchange resources and periodically threaten dangerous inflation. In 1950 alone, retail prices rose 58% and from mid-1949 to the end of 1951 wholesale prices rose 400%, with a consequent hoarding of crops, investment for speculation rather than for production, and disorderly government processes of taxation and budgeting. At present military costs constitute 80% of the national budget and approximately 50% of the consolidated national, provincial and local budgets. So long as the present military burden must be carried, it is evident that the Formosan economy cannot be sustained without external assistance for at least three or four years. While present aid planning is

based upon the concept of progressively diminishing economic (as distinct from military) assistance, if military activity is substantially increased, self support for the Formosan economy may become a more distant goal.

44. The U.S. economic aid program (including common-use items) for Formosa totaled $98 million for fiscal year 1951, $81.5 million for fiscal year 1952 and $105.5 million for fiscal year 1953. The objectives of the economic aid program are to: (a) maintain economic stability, (b) lend economic support to the U.S. military assistance program, (c) develop industry and agriculture so that Formosa can become more nearly self-supporting.

45. Significant progress has been made over the past few years to expand trade, and to increase agricultural yields and industrial production:

a. The value of total exports in 1952 was 29% higher than the 1950 and 1951 level. Trade with Japan, traditionally Formosa's chief trading partner, has been substantially revived by an agreement signed in September 1950. In 1952 Japan took one-half of the Formosan exports (mostly rice, salt, and sugar) while supplying nearly the same proportion of Formosan imports (mostly textiles, fertilizers and machinery).

b. Trade with other Asian countries, particularly Hong Kong and Malaya, is beginning to reach significant levels.

c. Imports into Formosa financed by the Mutual Security Agency during the period from July 1, 1950 through January 1953 totalled $164 million. These imports have consisted of raw materials for industries, chemical fertilizers, necessary consumers goods and industrial equipment otherwise not available from the limited amounts of Chinese foreign exchange.

d. Industrial production in some industries greatly exceeds pre-war Japanese levels.

e. Although agricultural production and general living standards are below pre-war levels, an island-wide effort is well under way to improve the lot of the farmers, 60% of the total population, through such means as: fixed land rentals and sale of land to tenants, control of animal and plant diseases, livestock upbreeding, better irrigation and chemical fertilizers. Rice production is already somewhat higher than pre-war, and higher (on an annual yield per acre basis) than any country in the Far East.

46. As against these evidences of progress, economic weaknesses are still apparent. Public sensitivity to commodity shortages tends to produce radical fluctuations of prices and interest rates; gold and foreign exchange reserves are precariously small; the danger of a crippling inflation is accordingly ever-present, currently stimulated by Chinese military pressures to expand defense projects, training, raise pay scales and to stockpile rice. All of the arable land is now under cultivation, yet the birth rate is more than 42 per 1000 as opposed to a death rate of 11 per 1000. Continuation of this rate

would double the population in about 20 years and convert the island into a net food importer.

47. When viewed in the longer perspective, however, Formosa has many of the physical prerequisites and potentialities for becoming one of the most stable and attractive societies in the Far East. Its relatively advanced state of material development, industrialization and literacy, its high agricultural productivity, its knowledge and application of modern methods could make it, with proper guidance, assistance, encouragement and opportunity for trade, a splendid "show window" of the free world in Asia.

*Analysis of Cost Trends Resulting from Intensified Military Activity in Formosa*

48. The current cost of economic aid is analyzed below for purposes of comparison with the foreseeable cost trends arising from an intensified military build-up and possible offensive action.

49. For purposes of this study, the costs of economic aid are divided into two components, "Developmental" and "Stabilizing". Of the two, the stabilizing component is predominant, although funds have been increasingly devoted to expanding industrial developments designed to achieve eventual self support.

50. The core of the economic aid program is the stabilizing component. The funds spent for stabilization are dual purpose funds in the sense that they (a) generate local currency counterpart to cover local FOA costs and to finance National Government of the Republic of China (NGRC) budget deficits (as discussed below), and (b) finance imports of essential commodities. The former is considered the more important purpose.

51. Formosa has a substantial demand back-log for imports since the current level of imports is only about 60% of the pre-war level on a per-capita basis (exclusive of military end item imports). More imports are desirable from the standpoint of normal Formosan living standards (except in rural areas). The actual magnitude of the stabilizing component of the aid program is determined, therefore, not on the basis of what imports are desirable to meet consumer demands, but rather on the basis of how much must be spent for imported commodities to generate counterpart which in turn is needed to finance Chinese National Government deficits. Only if the deficits are reduced to manageable proportions can inflation be curbed.

52. Experience in Formosa indicates that inflation control is a prerequisite to progress in all other fields. Once out of control, inflation tends to reduce investment for production, leads to hoarding, disrupts orderly processes of budgeting, and weakens political control. Not until April 1952 was inflation brought fully under con-

trol, principally through a combination of strict expenditure limitations administered by the Mutual Security Agency and the Military Assistance Advisory Group, plus sizable stabilization imports. Supplementary measures to offset inflation have included production increases, credit controls, technical assistance in taxation, budgeting, and foreign trade. It is generally recognized that the National Government of China is making a determined effort to maximize Government reserves. By Far Eastern standards the results are considered excellent, and are markedly superior, for example, to results in the Philippines and Thailand. In some fields tax collections are excessive with a consequent adverse effect on incentive and capital formation.

53. Since the costs of U.S. economic aid are directly related to the local currency budget, the 1952 budget is shown below for purposes of illustration:

*Budget for Calendar Year 1952*
*All Levels of Government*

(Expressed in Millions of US$. Local currency has been converted at the counterpart rate of NT$11.6 to $1 U.S.)

| *Budget Item* | *Amount* | *Percentage of Total* |
|---|---|---|
| National Defense | $119.8 | 45.7 |
| Reconstruction | 48.3 | 18.4 |
| Education | 27.3 | 10.4 |
| Loans, etc. | 17.2 | 6.6 |
| Police | 14.6 | 5.6 |
| Debt Service | 12.5 | 4.8 |
| Health | 6.7 | 2.5 |
| Foreign Affairs | 3.6 | 1.4 |
| Legislative/Judicial | 3.6 | 1.4 |
| Administrative, etc. | 8.6 | 3.2 |
| Total | $262.2 | 100.0 |

54. The predominant item is national defense which requires nearly half of all funds (available to the Central, Provincial and local governments). The National Defense Budget for 1952 was as follows:

[Here follows a list of the various components of the Chinese defense budget and the amounts allocated to them.]

55. Although it is impossible accurately to estimate costs arising from intensified military build-up, certain trends can be assessed. A downward influence on cost trends will result from the contin-

ued exercise of Foreign Operations Administration and Military Assistance Advisory Group controls over spending by the Chinese National Government. At the same time, however, an upward influence will result from increased military activity.

a. A policy of encouraging raids on the mainland could well increase the "Operations" item of the budget (see fifth item in National Defense Budget above). The total expenditures for "Operations" were $13.3 million during 1952, when raiding activity was conducted on a limited scale. A policy of increasing logistical support of guerrillas could well increase the budget items of "Food", for example, as well as "Administration" and "Ship Repair" (see National Defense Budget above). This would at the same time result in the loss of earnings from rice exports.

b. Further costs appear possible as the result of accelerated military preparedness. In a desire to ready themselves for military operations on the mainland, the Chinese military authorities would probably continue their practice of demanding services and goods without cost or at a discount. Experience in 1952 showed hidden or unadmitted deficits of this nature amounting to the equivalent of U.S. $11.5 million. Costs of greater magnitude may occur in subsequent years.

c. A number of consequences, difficult to quantify, but none the less real, are foreseeable if retaliatory military action by the Communist Air Force takes place. In the event of air attacks, it can be assumed that imports and exports will be at least temporarily suspended as vessels seek safehaven in accordance with their insurance or union contracts. Other consequences of communist military action would include reduction of export earnings; sharp price rises as commodities, particularly rice, are hoarded; and decrease in both domestic and foreign capital investment for production. The Chinese National Government would find it necessary to raise emergency revenues and undoubtedly U.S. assistance would be sought, as in the past, in order to import such items as flour, textiles, canned goods, etc., which can be readily sold on the local market and turned into cash for the Government. An emergency import program, costing the United States about $29 million in the fiscal year 1951, was undertaken when it became apparent that the local costs of roads, airfields and supplies had to be defrayed. These expenditures were necessary in order to prepare the way for the arrival of end-items and the initiation in 1951 of the training programs sponsored by the Military Assistance Advisory Group. Communist raids on Formosa would warrant similar expenditures for commodity imports. The magnitude of such an import program would vary with U.S. military intentions at the time, and the extent to which the United States is prepared to curtail other objectives.

d. Funds under the "Common Use" program are used to finance the importation of commodities not furnished under the Mutual Defense Assistance Program which are required by the forces of the Chinese National Government. These commodity imports include aviation gasoline, lubricating oils, soya beans, flour, as well as raw materials used for the construction of barracks, airfields,

repair shops, harbor facilities and raw materials used to manufacture small arms, ammunition, uniforms, etc. The influence of an intensified military build-up on the common use program is difficult to assess in view of some current developments which will exert downward pressure on cost trends. For example, the textile industry in Formosa has expanded to a point where fewer dollar imports of cloth are required, off-shore procurement contracts are being concluded which will help finance the raw material costs in the arsenals, plans are being made for the refining of aviation gasoline and the manufacture of lubes. Greater military activity may, however, result in certain increased costs. For example, more imports may be needed for the accelerated construction of harbor facilities and repair shops, and for the supply of troops, both in Formosa and possibly in the mainland, now underequipped for offensive action.

56. In summary, there appears to be little doubt that accelerated military activity, including intensified offensive operations, will result in rising costs. The chief increase will result in the cost of commodities required to cushion the impact of heavy military expenditures by the Chinese National Government and possible disruption of local production and distribution. Additional costs may also arise in terms of a larger volume of imports under the common use program.

---

## No. 151

793.02/11-1053: Telegram

*The Secretary of State to the Embassy in the Republic of China* [1]

TOP SECRET
NIACT

WASHINGTON, November 10, 1953—6:36 p.m.

423. Eyes only Nixon [2] from the Secretary. Understand there has been cabled you text of questions and answers at my press conference Monday [3] as to whether our ban against Chinese Communist recognition was "forever." [4] Question was unexpected and answer

---

[1] Drafted by Secretary Dulles.

[2] Vice President Nixon visited the Republic of China Nov. 8–12, in the course of a trip through Asia and the Middle East; for his oral report of Dec. 23 to the National Security Council, see Document 163.

[3] Nov. 9.

[4] According to a transcript of this portion of the press conference, the relevant question and answer read as follows:

"Q. Mr. Secretary, on the possibility of the ultimate admission of Red China, is there any—however indefinite—procedure or any situation which this Government has envisaged which might make that acceptable to us at some future time?

"A. I do not think that this Administration has ever said that it would be forever opposed to a recognition of a Communist Government in China. We have said that

*Continued*

## No. 321

S/S–NSC files, lot 63 D 351, NSC 146 Series

*Memorandum by the Secretary of Defense (Wilson) to the Special Assistant to the President for National Security Affairs (Cutler)* [1]

TOP SECRET WASHINGTON, October 5, 1954.

Subject: Paragraph 10, NSC 146/2, "U.S. Objectives and Courses of Action with Respect to Formosa and the Chinese Nationalist Government".

I am attaching for your information a copy of the comments of the Joint Chiefs of Staff on the above subject.

I have also forwarded to you a memorandum in regard to our NSC policy with respect to Formosa.

I am not in full agreement with the recommendations of the Joint Chiefs of Staff in regard to their views as outlined in the attached memorandum and will be prepared to discuss this matter at the NSC meeting on Wednesday, October 6th.

In view of the nature of the agenda for the NSC meeting on October 6th, I recommend that the Secretaries of the military departments and the Joint Chiefs of Staff be invited to attend this meeting.

C. E. WILSON

[Attachment 1]

*Memorandum by the Joint Chiefs of Staff to the Secretary of Defense (Wilson)*

TOP SECRET WASHINGTON, 1 October 1954.

Subject: Paragraph 10, NSC 146/2, "U.S. Objectives and Courses of Action with Respect to Formosa and the Chinese Nationalist Government"

1. This memorandum is in response to a memorandum by the Assistant Secretary of Defense (ISA), dated 28 September 1954, [2] subject as above, which informed the Joint Chiefs of Staff that the President, for the time being, has suspended that portion of paragraph 10, NSC 146/2, which provides that the United States should "encourage and assist the Chinese Nationalist Government . . . [3] to

[1] Circulated to the National Security Council with a covering memorandum of Oct. 5 from Lay.

[2] Not printed, but see Cutler's memorandum to Dulles, Document 303.

[3] Ellipses in this document are in the source text.

raid Chinese Communist territory and commerce." The memorandum requested the views of the Joint Chiefs of Staff as to (a) the advisability of making this suspension permanent and (b) the general desirability of lessening the chances of Chinese Nationalist actions provoking increased hostilities with the Chinese Communists.

2. The Joint Chiefs of Staff are of the opinion that the question of whether the foregoing suspension is to be made permanent should be decided in the light of the over-all policy which the United States elects to adopt toward Communist China. The statement of policy contained in subparagraph 1 c, Section I, of NSC 5429/2 (Communist China), which is quoted below, awaits further consideration in light of review by the Secretary of State and report to the NSC, which report has yet to be made:

"1. Reduce the power of Communist China in Asia even at the risk of, but without deliberately provoking, war:

"a. . . .
"b. . . .
"c. Maintaining political and economic pressures against Communist China, including the existing embargo and the support for Chinese Nationalist harassing actions."

The course of action set forth in paragraph 10 of NSC 146/2 (in effect since 6 November 1953) is consistent with the foregoing United States policy, which while tentatively adopted on 20 [*18*] August 1954, still awaits review and report to [*by*] the Secretary of State. Further, the raiding of Chinese Communist territories and commerce provided for in NSC 146/2 represents about the only harassing action now open to and within the competence of the Chinese Nationalist forces.

3. In terms of positive results, the raids on the Chinese mainland, and the threats of such raids, are factors which have contributed substantially to the buildup of a system of defenses along the Fukien and Chekiang coasts and to the immobilization of troops in significant strength in manning those positions. The raids have provided valuable combat training and experience for the Chinese Nationalist forces involved, and have been the source of intelligence regarding Chinese Communist activities, strength, and dispositions.

4. Raiding of Communist shipping bound for Communist China ports has, from the standpoint of the Chinese Nationalists, more than justified the efforts and resources expended. The confiscation of valuable cargoes has deprived the Chinese Communists of badly needed commodities and equipment. Of greater importance, however, has been the impact upon the pattern of seaborne traffic to the Chinese Communist ports. Since early 1953, shipping has from time

to time been diverted from ports of destination to Whampoa (Canton) for discharge, and weeks have elapsed before North China port calls were resumed. Since June 1954, no merchant ships loaded from Communist ports in Europe have delivered any cargo to Communist China ports north of Canton. The port of Whampoa has become so congested as to result in turn-around delays of from 25 to 30 days and it has been necessary to resort to use of junks, lighters, and other forms of floating storage, in order to avoid greater turn-around delays and demurrage costs. The problem for Communist China has been complicated further by the necessity of relying to a greater extent upon shipments by rail north from Canton and from the USSR, thus placing additional burdens on an already overtaxed rail system.

5. The scope and tempo of the foregoing raids are subject to the guidance and control of the United States. As indicated in paragraph 13 of NSC 146/2, the Chinese Nationalist Government is committed to refrain from any such operations which are considered by the United States as inimical to the best interests of the United States.

6. The Joint Chiefs of Staff are of the opinion that a categorical answer to the question of whether it is desirable to lessen "the chances of Chinese Nationalist actions provoking increased hostilities" would not be meaningful. The answer must be related to the course the United States intends to follow in dealing with the problem of Communist China. The application of a positive policy, such as has obtained until now, inherently involves certain risks, including the risk of increased hostilities. These risks can and have been minimized by the judicious exercise of the United States prerogative of guiding and controlling the scope and tempo of Chinese Nationalist offensive operations. If, on the other hand, the United States were now to decide that these risks are unacceptable and that a more conservative approach should be adopted, its new position should be reflected in a general revision of United States policy in the Far East rather than in isolated action to impose permanent restrictions upon certain operations of the Chinese Nationalists which would tend to undermine their will and capability of resisting further Chinese Communist aggression.

7. In the light of all of the foregoing, the Joint Chiefs of Staff recommend against the permanent suspension of the policy set forth in paragraph 10 of NSC 146/2 with respect to United States

encouragement and assistance to the Chinese Nationalist Government to raid Chinese Communist territory and commerce.

For the Joint Chiefs of Staff:
ARTHUR RADFORD
*Chairman*
*Joint Chiefs of Staff*

[Attachment 2]

*Memorandum by the Secretary of Defense (Wilson) to the Special Assistant to the President for National Security Affairs (Cutler)*

TOP SECRET WASHINGTON, October 5, 1954.

1. Our present NSC policy in regard to Formosa, in particular paragraph 10 of NSC 146/2, seems to me to be out of date. Our position could be defended while the Korean War was going on and perhaps as long as the war in Indo-China continued, but does not seem to me to be sound now and is likely to actually lead to a war with China. These policies should be reviewed and brought up to date.

2. The off-shore islands and our confused policy regarding them (at least confused in some people's minds) have real possibilites of precipitating a war with China.

3. I understand the present position in regard to Formosa and the Pescadores has developed through the following sequence of events:

December 1, 1943—Roosevelt, Churchill, and Chiang went on record at Cairo as favoring the return of Manchuria, Formosa, and the Pescadores to the Republic of China. [4]

July 1945—Reaffirmation of the above at Potsdam. [5]

October 25, 1945—National Government took over Administration of Formosa after 50 years of Japanese occupation.

December 10, 1949—President Chiang set up his government in Taipei after the defeat of the Nationalists on the mainland. [6]

---

[4] For text of communiqué agreed upon by President Franklin D. Roosevelt, Generalissimo Chiang Kai-shek, and Prime Minister Winston Churchill at the Cairo Conference and released to the press on Dec. 1, 1943 (Cairo Declaration), see *Foreign Relations*, The Conferences at Cairo and Tehran, 1943, p. 448.

[5] The text of the proclamation issued on July 26, 1945, at Potsdam by President Truman, President Chiang, and Prime Minister Churchill, which reaffirmed the terms of the Cairo Declaration, is in *Foreign Relations*, The Conference of Berlin (The Potsdam Conference), 1945, vol. II, p. 1474.

[6] The Nationalist Government began functioning in Taipei on Dec. 9, 1949; for related documentation, see *Foreign Relations*, 1949, volumes VIII and IX.

January 5, 1950—President Truman ordered neutralization of Formosa. [7]

September 1951—Japanese Peace Treaty signed, formalizing the Cairo and Potsdam declarations with respect to Formosa. [8]

February 1953—President Eisenhower deneutralized Formosa and guaranteed protection by 7th Fleet. [9] (It is my understanding that this last decision also affected the degree to which U.S. military assistance material to the Chinese nationalists could be used in defense of the off-shore islands.) [10]

While these points may overly simplify the matter and there may be a considerable legal and technical position in regard to Formosa and the Pescadores which is distinctly different from the off-shore islands, I think the thing should be very carefully looked over from this angle. Consideration might be given to putting Formosa and the Pescadores under the mandate of the United Nations or setting them up as an independent, autonomous State.

4. If the course of action proposed by the Secretary of State and listed in NSC record of action #1224, sub-paragraph b, [11] does not work out or introduces unacceptable complications, then some other plan must be worked out, giving thorough consideration to Items 1, 2 and 3 of this memorandum in order to implement paragraph 9 of NSC 146/2.

C.E. WILSON

---

[7] Reference is to President Truman's statement of June 27, 1950 cited in footnote 3, Document 20. Truman's statement of Jan. 5, 1950, declared that the United States would not pursue a course of action which would lead to involvement in the Chinese civil conflict; for text, see *Public Papers of the Presidents of the United States: Harry S. Truman, 1950,* pp. 11–12.

[8] In the Japanese Peace Treaty, Japan renounced all claim to Formosa and the Pescadores, but the treaty, unlike the Cairo Declaration, did not indicate the further disposition of those territories.

[9] See the extract from the President's message to Congress, Document 75.

[10] The available documentation on this subject is contradictory. See telegram 813 to Taipei, Document 24; telegram 546 to Taipei, Document 79; and the exchanges of telegrams between Washington and Taipei in July 1953, Documents 122–127 *passim.*

[11] See footnote 9, Document 293.

## No. 341

611.93/10-1454

*Memorandum by the Counselor (MacArthur) to the Acting Secretary of State* [1]

TOP SECRET [WASHINGTON,] October 14, 1954.

In our conversation at Duck Island, the Secretary mentioned that he had been reflecting on our policy with respect to the Chinese Nationalists. As long as the Korean war was in progress and indeed as long as there was a possibility of our becoming involved in the Indochina hostilities, our policy with respect to Formosa as a threat against the flank of Communist China made good sense as did the concept of having Formosa a point from which harassments against the mainland could be conducted.

However, with the end of hostilities in Korea and Indochina we do not have the same valid basis for preserving for Formosa the concept of a "privileged sanctuary" from which one-way operations against the mainland could be conducted. Therefore, the idea of a defensive security pact is fully in keeping with the altered circumstances in the area.

I believe he will discuss this further with you upon his return.

---

evening with the British and New Zealand representatives (none of the above attached to the memorandum); instructions that the President should be provided copies of Robertson's telegram from Taipei and Dulles' message to Chiang and that he should be informed that the Department had told the British and New Zealand representatives of the probability of a U.S.-Chinese security treaty; and instructions that Lodge should be informed verbally that the Chinese reply was negative, that Chiang had raised the question of a security treaty, and that the Department was sympathetic to this but could not take action on it for several weeks and hence did not wish it known publicly. (793.00/10-1454)

[1] Also sent to Robertson and Bowie.

---

## No. 342

793.00/10-1454

*Memorandum of Conversation, by the Deputy Director of the Office of United Nations Political and Security Affairs (Bond)*

TOP SECRET [WASHINGTON,] October 14, 1954.

Subject: China Item: Consultations with the United Kingdom and New Zealand

Participants: Mr. Douglas MacArthur, II, Counselor
Mr. David McK. Key, Assistant Secretary

Mr. Edwin Martin, Acting Director for Chinese Affairs
Mr. Niles W. Bond, UN Political and Security Affairs
Sir Robert Scott, Minister, British Embassy
Miss Barbara Salt, First Secretary, British Embassy
Mr. Hunter Wade, First Secretary, New Zealand Embassy

The above-listed representatives of the UK and New Zealand came to the Department this evening at 7 o'clock at Mr. MacArthur's request to receive from him a report of his conversations with the Secretary earlier in the day at Duck Island. Mr. MacArthur opened the meeting by saying that the reply which we had received from Taipei had made it clear that the attitude of President Chiang Kai-shek with respect to the proposed China item was strongly negative, although not necessarily hopelessly so. He said that the Secretary wished to have his views on this general question passed along in full to the UK and New Zealand representatives for transmittal to Mr. Eden and the New Zealand Government, and that he had consequently made extensive notes on the Secretary's remarks from which he would read. Mr. MacArthur then read to the UK and New Zealand representatives from the attached paper (Tab A).

After Mr. MacArthur had finished his presentation, Sir Robert Scott expressed his appreciation for the frankness and fullness with which the Secretary's views had been presented, and said that the Embassy would pass them on at once to Mr. Eden.

In response to a question from Sir Robert, Mr. MacArthur confirmed that the Secretary was not linking the proposed mutual defense treaty to the New Zealand resolution, in the sense that our willingness to proceed with the latter was not dependent upon the negotiation of the former. He suggested that the existence of a mutual defense treaty with the Chinese Nationalists might go a considerable way toward meeting the UK desire for a general pacification in the area. He further pointed out, referring in particular to the third paragraph of the attached paper, that this would not involve the creation of a "privileged sanctuary" on Formosa. Sir Robert said that it was his assumption that the UK and New Zealand were not being asked to accept any responsibility in the matter of the conclusion of a mutual defense treaty between the U.S. and Nationalist China. Mr. MacArthur said that was correct. Sir Robert then asked whether the proposed U.S. commitment with respect to a treaty would mean that the Chinese Nationalists would refrain from vetoing the New Zealand resolution. Mr. MacArthur and Mr. Martin replied that, although there could be no ab-

solute assurance on this point, it was our feeling that this was the most effective way of obtaining their acquiescence, and that with the prospect of a treaty in view they might very well decide to lie low and not actively oppose the resolution.

Sir Robert then raised the question of whether the proposed treaty would cover the inshore islands with which the New Zealand resolution was designed to deal. Mr. MacArthur expressed the personal view that it would not but said that we had been working on language which would cover that point. Sir Robert then raised the question of the legal status of Formosa, to which reference had been made in the attached paper, in response to which Mr. Martin explained the U.S. thinking on this question. Sir Robert asked what we would do if the Chinese Nationalists should make a premature announcement of our decision to negotiate a treaty. Mr. MacArthur replied that it was our hope that we could prevent such an occurrence.

After a further discussion of the procedural details involved in going ahead with the New Zealand resolution, Sir Robert summed up by saying that it was his understanding that what Mr. MacArthur had been telling them was (1) that it was the U.S. intention to negotiate a mutual defense treaty with the Chinese Nationalists but that it would be done if possible without publicity, at least for the duration of consideration of the New Zealand resolution, and (2) that so far as the New Zealand resolution itself was concerned, we were willing to go ahead. Mr. MacArthur confirmed that understanding but pointed out that if consideration of the New Zealand resolution should be unduly protracted, we might be obliged to move ahead with our treaty negotiations before the resolution had been disposed of.

[Tab A]

*Paper Prepared by the Counselor (MacArthur)* [1]

TOP SECRET [WASHINGTON,] October 14, 1954.

The views of the Chinese Nationalist Government are strongly negative. Nevertheless, we are prepared to proceed and to use our best efforts to keep Nationalist opposition within tolerable bounds. However, in this connection, we shall probably have to consider the coming to some understanding with President Chiang Kai-shek with reference to a defensive security treaty. We ourselves desire

[1] The paper's heading reads: "Substance of Secretary's Views, to be communicated to UK (for Mr. Eden) and to New Zealand Representatives."

such a treaty, and have for some time been considering it. As you know, we regard Formosa as an essential link in the off-shore island chain, which includes the Aleutians, Japan, Ryukus, Formosa, the Philippines, and Australia and New Zealand. We have security arrangements with every link in this chain except with Formosa. Now also, Southeast Asia will be included under the Manila Pact. In each case, there is either a direct US interest, as in the Ryukus, or a security treaty which has been approved by the Senate. Such a treaty gives the President a scope for action in emergencies which is not available to him if there has been no prior Congressional action.

In the case of Formosa, the President's authority derives from the Korean war. With, however, an end to Korean hostilities, the Executive's authority to order our military forces into action should be made clearer, and we have for some time planned to replace this former authority with the unquestionable authority which would reside in a security treaty ratification by the US Senate.

We have made clear to President Chiang that any such security treaty, if made, would be wholly defensive and that it would not be possible for us to throw defensive protection around Formosa and the Pescadores if at the same time these islands were used as a base for offensive operations.

Chiang has asked that if the New Zealand resolution proceeds, we should at that time make clear our intention to make a security treaty with him. We have told him that we are unwilling to make any announcement on our part coincide with the New Zealand action. However, in line with our policy of the fullest possible exchange of confidence on these matters, I think you should know that it is probable that the New Zealand action will somewhat accelerate the taking by the U.S. of this action to close what is now the only gap in a Western Pacific position which is deemed vital to the U.S.

In this connection, you will of course recall that the U.S. has a juridical position in that these islands have never been ceded by Japan to China. Japan has renounced its own right and title to the islands, but their future status was deliberately left undetermined, and the U.S. as a principal victor over Japan has an interest in their ultimate future. We are not willing that that future should be one which would enable a hostile regime to endanger the defensive position which is so vital in keeping the Pacific a friendly body of water.

The Secretary hopes and believes that the position indicated above will not alter your views with reference to our proceeding. Indeed, the defensive assurances which would couple any security

treaty, if and when it were announced, would be a further step toward pacification in the area. It is, however, our purpose to avoid any public step in this matter, at least until we have a chance to see the probable fate of the New Zealand resolution.

---

## No. 343

793.00/10-1454: Telegram

*The Acting Secretary of State to the Embassy in the Republic of China* [1]

TOP SECRET NIACT WASHINGTON, October 14, 1954—8:03 p.m.

236. Eyes only Ambassador Rankin from Secretary. Please deliver at once message contained immediately following telegram from Secretary to President Chiang Kai-shek. In so doing please stress necessity for absolute secrecy. You should tell him that due to absence of key Congressional leaders from Washington we cannot complete our consultations re mutual defense security treaty for at least three weeks, when Congressional elections will be over and Senate reconvened for action on McCarthy matter. [2] Therefore no announcement or word of our intention to initiate discussions with ChiNats can become public until we have completed our Congressional consultations and agreed with ChiNats on an appropriate announcement.

HOOVER

[1] Drafted by MacArthur and approved by Dulles.
[2] A proposal to censure Senator Joseph R. McCarthy (R-Wisconsin).

---

## No. 344

793.00/10-1454: Telegram

*The Acting Secretary of State to the Embassy in the Republic of China* [1]

TOP SECRET NIACT WASHINGTON, October 14, 1954—8:04 p.m.

237. Eyes only Ambassador Rankin from Secretary. Re immediately preceding telegram, [2] following personal message for Chiang Kai-shek from Secretary:

[1] Drafted by Dulles.
[2] *Supra.*

## No. 350

Eisenhower Library, Dulles papers, "Meetings with the President"

*Memorandum of Conversation, by the Secretary of State*

[Extract]

TOP SECRET [WASHINGTON,] October 18, 1954.

MEMORANDUM OF CONFERENCE WITH THE PRESIDENT, THE WHITE HOUSE, 8:00 TO 9:00 A.M.

. . . . . .

2. I discussed the matter of a security treaty with Nationalist China to cover Formosa and the Pescadores coupled with UN action to deal with the offshore islands under National control such as Quemoy. The President agreed that we should follow this procedure. He said that as far as he was concerned, the United States would never tolerate Formosa and the Pescadores going into unfriendly hands. He also reaffirmed the point I had mentioned, namely, that Formosa and the Pescadores had a distinctive juridical status under the Japanese Peace Treaty. They were not technically under Chinese sovereignty since Japan had made no cession in favor of China. The President agreed, however, that once we made a security treaty with Nationalist China covering Formosa and the Pescadores, it would be necessary for them to refrain from offensive operations from their "privileged sanctuary".

I expressed the view that we ought to explore this situation as rapidly as possible with Senate leaders. I stated that we had already done so with Senator Knowland, who was in accord. I felt we should also cover Senator Wiley [1] and Senator Smith, the latter of whom I knew favored such a treaty. On the Democratic side, there was Johnson, [2] George, [3] Sparkman [4] and Mansfield. The President agreed that we should try to have contact with them as rapidly as possible.

I said that I doubted that the UK would proceed in the Security Council before I had had a talk with Eden in Paris, [5] and I felt that

---

[1] Senator Alexander Wiley (R–Wisconsin), Chairman of the Senate Foreign Relations Committee.

[2] Senator Lyndon B. Johnson (D–Texas), Senate Minority Leader.

[3] Senator Walter F. George (D–Georgia), ranking minority member of the Senate Foreign Relations Committee.

[4] Senator John J. Sparkman (D–Alabama).

[5] Dulles attended the Nine-Power, Four-Power, and North Atlantic Council Ministerial meetings in Paris, Oct. 20–23; for documentation pertaining to the meetings, see vol. v, Part 2, pp. 1404 ff.

it would be important for me to tell Eden the line upon which we were thinking. The President concurred.

. . . . . .

JFD

---

## No. 351

793.00/10-1854

*Memorandum of Conversation, by the Assistant Secretary of State for International Organization Affairs (Key)* [1]

TOP SECRET [WASHINGTON,] October 18, 1954.

Subject: China Item: Consultations with the United Kingdom and New Zealand

Participants: The Secretary
The Under Secretary
Mr. Douglas MacArthur, II, Counselor
Mr. Walter Robertson, Assistant Secretary
Mr. David McK. Key, Assistant Secretary
Sir Roger Makins, British Ambassador
Sir Robert Scott, British Minister
Ambassador Leslie K. Munro of New Zealand
Mr. Hunter Wade, First Secretary of New Zealand Embassy

The meeting opened with the New Zealand Ambassador asking the Secretary to outline with special reference to its scope, defensive character, etc. the type of security treaty with Nationalist China which he had in mind.

The Secretary stated in reply that it had been decided, subject to the outcome of Congressional consultations, to go ahead with a mutual security treaty covering Formosa and the Pescadores along the lines of the defense treaties negotiated with Korea and ANZUS. This decision had been reached because it was in the U.S. national interest to clarify the status of these islands. They formed a vital part of the chain of islands which were essential to our defense. The decision was not in the nature of a bribe to Nationalist China to induce the latter to go along with the New Zealand proposal.

The Secretary pointed out that our status with respect to Formosa and the Pescadores is not altogether clear. Orders had been issued to the 7th Fleet but these orders had their origin during the

---

[1] Both Key and MacArthur are indicated as drafters on the source text; presumably the document was drafted by Key and revised by MacArthur.

Korean war and were designed to protect and preserve the UN flank off Korea. At that time the orders were "two-sided", i.e., the fleet was to repel any Communist attacks on Formosa but likewise to prevent the launching of any attacks from Formosa against the Communists. However, this latter feature had been suspended by President Eisenhower because of the Korean war and the importance of maintaining a diversionary threat.

With the cessation of hostilities in Korea and Indochina, the motive for the Presidential order had changed and there was some question as to the present basis of the order. The Secretary went on to say that the basic idea of a mutual defense treaty with Nationalist China had been embryonic for some time past. In fact, he had mentioned this as a possibility to Mr. Eden at the time of Mr. Churchill's visit here. [2]

Our proceeding with the treaty would depend on the Senate leaders. If we proceed, it would be with the understanding that if Formosa and the Pescadores are defensively protected on the one hand and if the "offshore" islands are covered by the New Zealand resolution on the other, then this combined situation would be regarded by us as possibly creating the basis for a general pacification of the area. It would not be our idea in such event to create a "privileged sanctuary." Formosa could not be used as a base for offensive operations against Communist China. Of course, if the Communist regime collapsed and there were serious internal uprisings on the mainland, we could not expect Chiang Kai-shek to renounce his hopes of reinstating himself in China.

Reverting to the proposed New Zealand resolution, the Secretary stated that we would want to push ahead with this proposal whenever it is opportune. However, present intelligence reports gave no evidence of any large-scale concentrations such as would presage an assult on Quemoy.

Ambassador Munro observed that this raised certain questions. For example, when would we envisage that the New Zealand proceedings would be launched? What sort of a statement would you make at that time? Also, he understood that the proposed mutual defense security treaty with the Chinese Nationalists would cover Formosa and the Pescadores, but wished to know whether, if the New Zealand draft resolution were not put forward, the treaty would include Quemoy and the other off-shore islands.

Secretary Dulles said he had really wanted to avoid this question. However, there was one point he wished to make entirely

[2] For documentation concerning the Churchill–Eden visit to Washington, June 25–29, 1954, see volume VI. There is no indication of any discussion of this subject in Department of State records of the meetings.

clear. The U.S. is not going to let Formosa and the Pescadores fall into hostile hands. He had discussed this matter again with the President this morning, and the President is entirely clear on this. Also, when he was in London and lunched with Prime Minister Churchill, [3] the Secretary said he had drawn a rough map on a piece of paper for Churchill showing that in our so-called off-shore island defense system stretching from the Aleutians down through Japan, Korea, to the Phillipines and Australia and New Zealand, Formosa and the Pescadores was the one link not covered by a formal security arrangement. Sir Winston expressed great interest and asked the Secretary for the piece of paper, which he put in his pocket. Our difficulty in concluding a defensive security treaty with Formosa relates to the problem of Quemoy and the other off-shore islands. As long as the Communists are attacking these islands we do not feel we can impose on Chiang Kai-shek a prohibition against defending them. The Secretary said when he was in Formosa following the Manila Conference he had had a long talk with Chiang Kai-shek regarding a security treaty. Chiang had urged very strongly that we conclude such a treaty, and the Secretary had pointed out the dilemma in terms of the so-called off-shore islands. Upon his return there was a meeting of the National Security Council in Denver, which considered this matter, and the idea had occurred of having the UN throw a protective mantle around Quemoy and the other off-shore islands. Since then, the Secretary said, we had given the whole question considerable thought, and our thinking has been clarified so that in a sense the proposed New Zealand resolution dovetails into our views on the desirability of a defensive security treaty with Formosa.

Regarding the time-table, Ambassador Munro said he had a question. If, for example, the President of the Security Council were notified about this matter on Wednesday, and SC discussions began on the following Monday, Munro said he personally had the very strong feeling that we should not simply unveil the New Zealand resolution covering the status of Quemoy and the off-shore islands without also letting other people in on the defensive security treaty question. In other words, he personally did not feel we should go forward with the New Zealand resolution and then suddenly spring the security treaty on others later. It would open us to charges of bad faith.

[3] Presumably when Dulles was in London for the Nine-Power Conference, Sept. 28–Oct. 3. A Sept. 30 memorandum of conversation by Dulles refers to a luncheon and two other conversations with Churchill but does not mention any discussion of China; for text, see vol. v, Part 2, p. 1368.

On the question of timing, Secretary Dulles said that when he had talked to Mr. Eden about this in September they were both apprehensive that an attack might be imminent. Our intelligence had indicated a build-up. Our present intelligence does not indicate that an attack is imminent in the next two or three weeks. Therefore, we would feel it entirely safe for the U.S. to proceed in completing its studies and consultations with Congressional leaders and then proceed with action on the New Zealand resolution and the defensive security treaty. It was also the Secretary's understanding that the New Zealand Government wished quick action on its proposed resolution because it feared there might be a leak which could cause embarrassment in connection with the New Zealand elections.

Ambassador Munro said that in reaching its decision New Zealand would, of course, be very much concerned with the position the UK takes. However, from the point of view of public opinion in New Zealand and elsewhere, he thought it would be vitally important that either the President of the United States or the Secretary of State make very clear the defensive nature of the proposed security treaty at the time it is made public.

Secretary Dulles referred again to his conversation with Chiang Kai-shek in September, during the course of which the latter had said he knew we were apprehensive that conclusion of a security treaty with Formosa might result in the U.S. being dragged into hostilities. Chiang Kai-shek had then assured Secretary Dulles that he would abide by any agreement which the U.S. might wish, to ensure that it would not become involved in hostilities initiated by the Chinese Nationalists. Chiang had also stated categorically that the military equipment supplied by the U.S. would not be used for operations against the mainland without the agreement of the U.S. The Secretary said the situation we had with respect to negotiating a defensive security treaty with Formosa was very similar to that we had had when we were negotiating a defensive security agreement with Syngman Rhee in Korea. However, the Korean situation was perhaps even more difficult because Rhee and his forces were located on the mainland where they could commence hostilities unilaterally.

Ambassador Makins said the UK was principally concerned over the effect the proposed defensive security treaty might have on the UN exercise on Quemoy and the off-shore islands. The British had not yet been able to sort out in their own minds all the elements in the problem. This delay had probably been in part caused by the fact that the British Government had recently been very much occupied with the Cabinet changes. However, Mr. Eden had sent word that he would hope very much to be able to talk to Secretary

Dulles about this matter while in Paris. The Secretary said he also had been reflecting and hoped to talk with Mr. Eden about this in Paris. There was some discussion as to when such consultation in Paris might take place. In view of his very full schedule Wednesday [4] afternoon, with a dinner Wednesday night, the Secretary suggested that he and Mr. Eden might breakfast together Thursday morning, but it was left that the exact time would be worked out in Paris.

Ambassador Munro requested that the British Foreign Office keep the New Zealand High Commissioner in London fully informed on all developments, particularly those relating to timing.

Ambassador Makins went on to say that one of Mr. Eden's difficulties about the treaty was that if no announcement about it were made until some time later, he would be open to criticism for a lack of frankness.

Reverting to Formosa the Secretary stated that the U.S. has an inchoate but legitimate interest in Formosa, title to which was renounced by Japan but was not transferred to China. From an international standpoint it would seem therefore that we are in a better position to defend Formosa than would be the case if Formosa were a part of China. The Secretary mentioned that the case of the Kuriles was not dissimilar: title had been renounced by Japan but it had not passed to the U.S.S.R.

[4] Oct. 20.

## No. 352

793.5/10-1854: Telegram

*The Secretary of State to the Embassy in the Republic of China*

TOP SECRET WASHINGTON, October 18, 1954—8:33 p.m.

247. Eyes only Rankin. President this morning approved immediate negotiation Defense Pact with Chinese Government provided assent in principle obtained first from certain key members Senate Foreign Relations Committee, both Republicans and Democrats. Consultations with Senators now going forward on priority basis. Chinese Minister informed this effect in utmost confidence today. [1]

Foreign Minister Yeh scheduled arrive Washington 20th.

DULLES

[1] A memorandum by McConaughy of the conversation between Chinese Minister Shao-Hwa Tan and Robertson, Oct. 18, is in file 793.5/10-1854.

handling of the inscription question, Ambassador Munro said he assumed we were agreed that the item should be placed as far down as possible on the Committee I agenda.

---

## No. 362

793.5/10-2754

*Memorandum of Conversation, by the Director of the Office of Chinese Affairs (McConaughy)*

TOP SECRET [WASHINGTON,] October 27, 1954—10:30 a.m.

Subject: 1. New Zealand Resolution.
2. Mutual Defense Treaty.

Participants: Dr. V.K. Wellington Koo, Chinese Ambassador
Foreign Minister, Dr. George Yeh
The Secretary
Mr. Walter S. Robertson, Assistant Secretary for FE
Mr. Walter P. McConaughy, Director for CA

Limited distribution. Foreign Minister Yeh referred to the Chinese memorandum of October 23 [1] setting forth the Chinese position in regard to the New Zealand resolution. He said that he would be grateful if the Department could reply informally in writing to the Chinese memorandum, so that he could make appropriate recommendations to his Government on the basis of the written U.S. reaction.

The Secretary said that he would prefer to wait a day or so before expressing any further views. There are certain aspects of the matter which are still under consideration. He hoped that it might be possible to start serious talks with the Chinese representatives about the 29th. He confirmed that the United States wanted to work out a Mutual Security Treaty, as the Generalissimo had been informed. The question of how to specify the area to be protected was causing some difficulty. Obviously it could not be said that every little island dot off the coast of China, if taken by the Chinese Communists, would represent a danger to peace and security. There are good reasons for considering the defense of Formosa and the Pescadores important to the security of the United States. But the United States cannot commit itself to fight for the retention of the off-shore islands by the Chinese Government. At the same time the U.S. does not want to leave them vulnerable to Chi-

[1] This memorandum, with a covering note from Ambassador Koo, was delivered to the Department on Oct. 23. (793.00/10-2354)

nese Communist attack. The Department is wrestling with this problem at the moment. Meetings are taking place with the responsible people from the Pentagon. All are thinking hard about the problem, but a minimum of 48 hours is needed for [all?] to think the problem through and obtain necessary clearances. It should be possible to start serious talks early next week, if not during this week-end. Insuperable obstacles might be encountered, but we hope not. He said he has been exploring all the angles of the problem since his talk with the Generalissimo in Taipei. He has worked hard on the difficult aspects. The question is very much on his mind. The Foreign Minister might be needed back in Washington in a day or so.

Foreign Minister Yeh said that he had to return to New York on the 28th. He could return to Washington any time after the 29th. He hoped that the Chinese position was made clear in the memorandum of October 23. He feared that the New Zealand Government might have under-estimated the implications and connotations of its proposed resolution. The Chinese Government would be willing to go along with the resolution if the undesirable implications and connotations were eliminated. He observed that in the Chinese view the resolution would not give actual protection to the off-shore islands. If the resolution were rejected by the Communists, the aggressive Communist attitude might help the moral position of the Chinese Government. But the adverse factors must be weighed against the possible moral benefit.

The Secretary said the Foreign Minister could be sure that the Department is studying the whole question with a sympathetic understanding of the Chinese Government's point of view. He would prefer to wait about two days before saying anything more specific. Any time after Friday would probably be suitable. The Secretary added that the subject was very touchy politically. Of course, there was a group of senators quite dedicated to anything which would help the Chinese Government position. But actually this group constituted a minority of the Senate. It might be important to know the result of the elections on November 2 before proceeding. If Republican control of the Senate were retained, the Administration would be off to a good start and might get prompt action on a Treaty. But if the Democrats won control of the Senate, there would be a change in those to be consulted. Such a shift might delay action on Treaty matters. He hoped to get action started at once on a rounded program, of which the proposed Treaty would be a part. He hoped that the program would substantially meet the Foreign Minister's wishes and strengthen the position of his Government. He recalled that he had told Ambassador Koo that a Defense Treaty might tend to weaken the position of the Chinese Gov-

ernment in some respects, since it could apply only to Formosa and the Pescadores. He remembered that the Generalissimo had maintained that appropriate language could readily be worked out to solve this problem. However, he had not received any concrete suggestion along this line from the Generalissimo. He was studying the matter closely anyway.

Foreign Minister Yeh asked if Treaty talks should get under way before the election.

The Secretary said that he thought it might be possible to start talks during the coming weekend.

Mr. Robertson pointed out that it would not seem desirable to make any announcement regarding any prospective Treaty before the election.

The Secretary emphatically agreed, but he thought that private talks with the Foreign Minister might start before the election. In any event it would take two or three days to consult President Chiang in Taipei.

Foreign Minister Yeh said that of course he recognized that the application of the operative clause of the Treaty would have to be limited to some extent. He suggested that the original draft Treaty submitted by the Chinese Government last December [2] might be used as a tentative basis for the initial discussions. He appreciated that changes must be made. He said that even his own Government would not wish to stand pat on the language it proposed at that time. He thought his Government would have some changes to suggest. The Chinese position was by no means inflexible.

The Secretary said that both sides must be flexible and think in practical terms. It would be impossible to obtain ratification of a Treaty which might automatically draw the United States into war with Communist China.

The Foreign Minister said that his Government did not want to force the United States into war with Communist China and would not propose Treaty language designed to embroil the United States with Communist China.

The Secretary remarked that the problem of drafting appropriate Treaty language could not be lightly brushed aside. It was extremely hard to solve.

Foreign Minister Yeh said that the Treaty could not stand by itself.

Secretary Dulles agreed. The two Governments must have an understanding on many things. This added to the difficulty.

---

[2] See footnote 2, Document 161.

Foreign Minister Yeh said the Treaty would have the advantage of affording a more permanent relationship. But other arrangements were needed also.

Secretary Dulles noted that there was a grave constitutional question as to how long the President could keep the order to the 7th Fleet in force. The original order of President Truman could be justified under the "war powers" of the President. But after the Korean Armistice there is a question as to the President's authority in the absence of a Joint Resolution of Congress, or a Treaty ratified by the Senate. Legally the President acting independently of Congress might not have the power to determine that the defense of Formosa and the Pescadores is vital to the peace and security of the United States. The legal right of the President to direct the 7th Fleet to defend Formosa without Congressional sanction was being eroded with the lapse of time. The Attorney General might find that the President lacks constitutional authority to continue the order to the 7th Fleet. Senator Knowland has expressed the view that Congress would be reluctant to pass in advance a Joint Resolution giving this authority to the President. Congress does not like to give "a blank check". If the President waits until an emergency arises and then seeks Congressional backing, the approval might come too late. Emergency powers do not last forever. The question is how to replace the 7th Fleet order with something not based on emergency powers. The United States Government does not want any gap in its defense arrangements. The off-shore island chain extends from the Aleutians through Japan and the Ryukyus, Formosa and the Philippines to Australia and New Zealand. Formosa is the only place in this chain not covered by defense provisions of undoubted validity. The United States does not want a gap in the chain any more than the Chinese Government does. The United States is working hard to find an answer along the lines of a Treaty.

Foreign Minister Yeh said that last February he wrote down some thoughts on the matter. At that time he doubted the constitutional position of the President. This was one of the reasons for a Treaty which he listed in a letter to Vice President Nixon. [3]

Foreign Minister Yeh then said that he wished to make a statement which must be put most precisely:

a) The Chinese Government does not have the slightest intention of making a Treaty with the United States serve as a basis for action against the mainland of China.

b) There is no intention on the part of the Chinese Government to involve the United States in war with Communist China.

---

[3] Presumably the letter transmitted in telegram 360, Document 162.

The Foreign Minister said "I mean this Mr. Secretary, and I think you can trust me".

The Secretary said that he did believe and accept the assurances of the Foreign Minister.

Foreign Minister Yeh said on the other hand his Government wanted to be certain that the Treaty did not confine its sovereignty to Formosa and the Pescadores. Such a limitation would be unacceptable both politically and psychologically. The Chinese Government position rests on two pillars: 1) its strength for defense, and 2) its hope for return to the mainland. The reference to "hope" might sound far fetched, but—

Secretary Dulles interrupted to say that the reference was not at all far fetched. He recognized its importance. It was his view that despotisms such as the one now ruling the mainland of China are not permanent. They run counter to the nature and aspirations of humanity. They often have a seemingly impregnable exterior but inside they are full of rottenness. We did not fully realize the truth of this generalization as applied to Nazi Germany until after the war we got into the secret wartime diaries and letters of the Nazi leaders. When they seemed so invulnerable in the war years, we know now they had already begun to crumble. Powerful leaders in a dictatorship may be liquidated very abruptly, as happened in the case of Beria last year. It is not unrealistic to envisage the possibility of a sudden unexpected collapse of a ruthless dictatorial regime. We would want to be ready, if the opportunity comes, to take immediate advantage of it. The opportunity might come in one year or in 5 years. No one could tell. The Secretary said he recognized that Formosa must not become an island prison for Free Chinese. On the other hand it would be folly to kill the chances of success by moving prematurely. He thought that if the Chinese Nationalists should try an invasion today, they would probably be destroyed. He assumed that the Chinese Government agreed that it did not have the capability at present for large-scale offensive action.

Foreign Minister Yeh said that the assumption was of course correct. He mentioned that the Chinese Government had already given a firm commitment not to mount any attack—even a large-scale raid or commando-type operation—without first obtaining U.S. consent. The Chinese Government had scrupulously lived up to this commitment and would continue to do so.

The conversation ended at about 11:10 a.m.

that, accordingly, the island must be defended, it was essential that we enter into such a treaty, not least of all because continued reliance on the use of the Seventh Fleet to defend Formosa could conceivably lead to impeachment.

*The National Security Council:* [10]

a. Noted and discussed a summary of that part of General Van Fleet's personal report on his recent mission to the Far East which dealt with national security policy, as read at the meeting by Mr. Cutler.

b. Noted and discussed a report by the Secretary of State on U.S. policies in relation to China (Chinese Nationalists and Chinese Communists), as distributed and read at the meeting.

c. Noted the President's authorization to the Secretary of State to proceed as recommended in paragraphs 1, 2 and 3, pages 4–7, of the report referred to in b above. [11]

d. Agreed to continue, at the special meeting of the Council to be held on Tuesday, November 2, discussion of further aspects of Far Eastern policy, including views of the Joint Chiefs of Staff and the Director of Central Intelligence on the report referred to in b above.

*Note:* The action in c above, as approved by the President, subsequently transmitted to the Secretary of State for implementation.

S. EVERETT GLEASON

[10] The lettered subparagraphs constitute NSC Action No. 1258. (S/S–NSC (Miscellaneous) files, lot 66 D 95, "Record of Actions by the National Security Council, 1954")

[11] Arabic-numbered paragraphs 1, 2, and 3 in the report, *infra*.

## No. 365

PPS files, lot 65 D 101, "China"

*Report by the Secretary of State to the National Security Council* [1]

TOP SECRET [WASHINGTON,] October 28, 1954.

Our policies in relation to China (ChiNats and ChiComs) need now to be brought into harmony with our basic overall policies. At present they include certain elements which are obsolete.

Our basic policy is to be clear and strong in our resolve to defend vital United States interests, but not to be provocative of war. We want peace so long as this does not involve the sacrifice of our vital interests or fundamental moral principles.

[1] The source text is not signed and bears no indication of the drafter; a handwritten note on it indicates that it was distributed by the Secretary at the Oct. 28 NSC meeting.

In application of the above policy in the Far East:

I. We have negotiated since 1951 a series of mutual security treaties covering Japan, South Korea, the Philippines, Southeast Asia, Australia, and New Zealand. We have assumed virtual sovereignty over the Ryukyus in exercise of our rights under the Japanese Peace Treaty, and we have instructed the Seventh Fleet to protect Formosa.

These various measures in aggregate substantially cover the free world positions, in the Western Pacific and East Asia, except Indonesia which is neutralist. Keeping these areas out of Communist control is essential to the maintenance of the Pacific Ocean as a friendly body of water with our defenses far from and not close to the continental United States.

II. We brought to an end the fighting in Korea against the ChiComs and the North Koreans when we could do so consistently with the maintenance of the principles which had brought us into that war and when to prolong the fighting would probably have led to general war with Communist China—and perhaps Russia. Now it is our policy to prevent Rhee from renewing the war.

III. The Executive was ready to recommend to the nation that we intervene in the Indochina fighting on condition that the object would be independence and not colonialism, and if the action would be *united* action, including those most directly concerned in the area. When these conditions were not obtainable, we acquiesced perforce in the Indochina armistice and we stated that we would not seek, by force, to violate that armistice. We are, however, seeking to limit the ill results of the armistice as they may affect us, notably by the Manila Pact.

IV. With relation to China, we have the following policies:

1. Continuing diplomatic recognition of the National Government as the Government of China.
2. Direct support of the ChiNat military establishment and their economy through large scale aid programs.
3. Non-recognition of the Chinese Communist regime but dealing with it on a *de facto* basis when circumstances make this useful.
4. Opposition to seating the ChiComs in the Security Council, the General Assembly, and other organs of the United Nations.
5. Maintenance of a trade embargo against the ChiComs.
6. Dependence on Executive Order for defense of Formosa and the Pescadores by United States Armed Forces.
7. Encouragement of ChiNats' harassing operations by sea and air against Communist shipping and certain mainland targets of opportunity. (This policy is partially and provisionally in suspense.)
8. Leaving the fate of the Nationalist held offshore islands (Quemoy, Tachen, etc.) to be determined by fighting between the ChiComs and the ChiNats with United States support to the ChiNats limited to matériel support.

The above policies originated at about the time of the outbreak of the war in Korea, they continued while fighting was active in Indochina. In part they represented the then need for diversionary threats. The order to the Seventh Fleet presumed possession by the President of "war powers".

Present conditions do not call for any basic change in the first five of the above-mentioned policies. However, now that the Korea and Indochina fighting has been brought to a close, some of the above policies require adjustment to bring them into harmony with our basic policies and our constitutional procedure.

1. There should be negotiated a mutual security treaty with the ChiNats covering Formosa and the Pescadores, but not the offshore islands. In this connection it may be noted that Japan never ceded sovereignty over Formosa and the Pescadores to China. Japan renounced its own sovereignty but left the future title undefined. Thus the United States as principal victor of Japan has an unsatisfied interest in these former Japanese islands. This treaty, when made and ratified, will replace the Seventh Fleet Presidential order which is becoming of questionable validity from a constitutional standpoint.

2. The treaty should be defensive in nature and this aspect should be accepted by the ChiNats. It would not be consistent with our basic policy of non-provocation of war were the United States to commit itself to the defense of Formosa, thus making it a "privileged sanctuary", while it was used, directly or indirectly, for offensive operations against the ChiComs.

The policy should be the same as in relation to Germany where Adenauer has renounced the use of force to unite Germany, and in relation to Korea where we oppose the use by Rhee of force to unite Korea. This does not exclude taking advantage of opportunities by joint agreement, as for example, if there were large scale insurrections against the Chinese Communist leadership or if their regime collapsed.

3. The United Nations Security Council should be seized with the problem of the fighting, actual and potential, involving the ChiNat held offshore islands with a view to that Council's taking provisional measures to stop the fighting as necessary to prevent the aggravation of a threat to international peace and security. This would, broadly speaking, restore the situation to that which has in the main existed over the last five years. The ultimate disposition of these islands would have to be peacefully resolved at some future date not now predictable. If Security Council action were accepted by the ChiNats but vetoed or otherwise blocked by the Communist side, then the United States might feel justified in agreeing to the use of Formosa as a base from which the Nationalists could aid in the *defense* of the offshore islands, were they seriously attacked by the ChiComs.

4. So long as the ChiComs are engaged in building up a war establishment and are motivated by a hostility to the United States which is, on the surface, more virulent than that of Soviet Russia, it is important to maintain stringent controls on strategic materi-

als for China. It is true that to the extent that the China embargo is more severe than that on the Soviet bloc, there can be importations via the Soviet Union. However, at the moment transportation facilities limit this possibility.

The reaction of the ChiComs to United Nations Security Council action will probably have a bearing on the degree to which it is possible to get other countries to maintain an embargo list like the present one. Recalcitrant action would make it easier; acceptance of United Nations authority would make it harder, to maintain the list. Already considerable pressures to reduce the list are building up. Perhaps some minor adjustments are inevitable in order to maintain the essentials. We should, however, exert our influence in favor of restricting China trade in goods which would have a strategic use in China.

---

## No. 366

Taipei Embassy files, lot 62 F 83, "Interception of Shipping, 1954–1956"

*The Ambassador in the Republic of China (Rankin) to the Deputy Assistant Secretary of State for Far Eastern Affairs (Drumright)*

TOP SECRET EYES ONLY
OFFICIAL–INFORMAL

TAIPEI, October 29, 1954.

DEAR DRUM: This refers to your letter of October 12, [1] received today, enclosing a copy of Ambassador Lodge's letter of October 6 to the Secretary regarding the Soviet tanker *Tuapse*. You ask for suggestions as to "better coordination".

In case you have not seen it, I quote the following from my letter of September 13 to Walter McConaughy:

"A corollary difficulty is well illustrated by the *Tuapse* case. Assuming that the United States Government really wants the Chinese to release the tanker, how are we to convince them of this? Our senior intelligence representative here quite naturally is not regarded by the Chinese as having authority in matters of policy, while our senior diplomatic and military representatives were bypassed at the outset in this case—as were also Admirals Radford and Carney, I am told—and therefore may be presumed to have nothing to do with the matter. As in the case of the troops in Burma for so long, it therefore is taken for granted by the Chinese that representations made by the Embassy about the *Tuapse* are for the record only and do not represent the true wishes of the United States Government. I should not be surprised if a personal message from President Eisenhower to President Chiang would be required eventually in the present instance."

---

[1] Not printed.

Relation to China (Chinese Nationalists and Chinese Communists) to the National Security Council at their meeting on Thursday, 28 October 1954.

2. General Ridgway and I will be present at the meeting with the Secretary of State. The Navy and Air Force will be represented by Admiral Duncan and General White, the Vice Chiefs of those services. General Shepherd of the Marine Corps will be present by my invitation, since I assume that the U.S. Marine Corps has an interest in matters of national policy which come before the Joint Chiefs of Staff.

3. At a meeting of the Joint Chiefs of Staff held this morning, the Secretary of State's report was discussed between the Chiefs and the Joint Strategic Survey Committee. It was decided that there was not time to draft and present to you and to the Secretary of State a formal JCS paper. It was further agreed that each service Chief or Acting Chief would be prepared to present to you and to the Secretary of State a memorandum which would be his individual and personal appraisal of the paper referred to above. The views of the JSSC will also be available.

4. For your information it was unanimously agreed by the Chiefs at their meeting this morning that a paper such as the one to be discussed this afternoon, which has such far reaching implications in regard to national policy, and hence on the military security of the United States which is the particular concern of the Joint Chiefs of Staff, should receive more deliberate consideration.

ARTHUR RADFORD

---

## No. 368

Eisenhower Library, Whitman file, Miscellaneous Series, "Conferences on Formosa"

*Memorandum of Conversation, by Colonel Andrew J. Goodpaster, Staff Secretary to the President*

TOP SECRET WASHINGTON, October 29, 1954—3:30 p.m.

Present:
The Secretary of State
The Under Secretary of Defense
Assistant Secretary Robertson
Mr. Douglas MacArthur
Mr. Robert Bowie
Admiral Radford
General Ridgway
General White
Admiral Duncan

General Shepherd
Colonel Goodpaster

1. Mr. Dulles stated the meeting's purpose was to hear views of the Joint Chiefs of Staff concerning the proposals for a security treaty with Formosa and for a UN resolution regarding off-shore islands. He started with a full chronological account and explanation of the development of these two proposals, including his initial discussions with the President in Denver, Secretary Robertson's conferences with the Generalissimo, Mr. Dulles' discussions with New Zealand and the United Kingdom, and extending to the present status of action. He stressed the need for a legal basis in treaty form to support any U.S. military action to defend Formosa, and cited the advantages of UN action with respect to the off-shore islands. Mr. Robertson indicated that while the Generalissimo's attitude during the conferences ended as one of reluctant, tentative concurrence, there are signs that he is becoming increasingly opposed to the proposals.

In the discussion by the Joint Chiefs of Staff, main points in substance as follows were raised:

A. Admiral Radford said the JCS have been using national policy papers as their starting point. Their premise has been that the U.S. would defend Formosa if attacked. If this is untrue, a most serious military situation is indicated, since Formosa is a key link in U.S. military plans and dispositions. The JCS have been basing dispositions on the statements as to vital areas in NSC papers, and if these are not valid, a dangerous situation exists. Mr. Dulles indicated that the reason why treaties are needed is to reduce this uncertainty. In the present case the treaty is to cover the Formosa "gap" in the designation of areas vital to the U.S.

B. Admiral Radford stated that if it were known that the U.S. would not support the Chinese Nationalists in defending the off-shore islands, the Communists could quickly seize them. Mr. Dulles considered that, when the threat first arose, world opinion would have opposed U.S. aid in the defense of the islands, but that by taking the question into the UN we place ourselves in position to reconsider the matter in the event of Chinese Communist defiance without so adverse an impact on world opinion.

C. Admiral Radford referred to the statement in the memorandum by the Secretary of State circulated at the NSC 28 October meeting, [1] that in the event of Communist action in defiance of the proposed UN reselution, the U.S. might then agree to the Chinese Nationals operating from Formosa as a base; there is no mention of the U.S. doing so. Mr. Dulles indicated that this implication was not intended, and that he was in agreement with adding a provision that perhaps the U.S. as well would operate from Formosa as a base in such circumstances.

---

[1] Document 365.

D. Admiral Duncan indicated that the actions proposed might remove a significant amount of pressure and doubt from the Chinese Communists as to U.S. intentions and actions in the area. He thought these actions would aid the Chinese Communists materially, and that they might well accept the UN resolution. General White supported Admiral Duncan's view as to removing Communist uncertainty. Mr. Dulles acknowledged these points, but cited the difficulty of keeping the enemy guessing in view of the policy we have in fact adopted concerning defense of the off-shore islands. He thought it might be better to "cover" this area with the mantle of the United Nations.

E. Admiral Duncan asked if the treaty could be placed in effect, dropping the resolution. Mr. Dulles stated the area covered could not be defined without making it known that the islands were outside it.

F. General Shepherd supported Admirals Radford and Duncan and indicated a view that the off-shore islands would probably be quickly lost to the Chinese Communists when they see that the U.S. would not support the Nationalists there.

Secretary Anderson indicated that even though there might be doubt about an adequate legal basis for defense of Formosa, the necessity for the President as Commander-in-Chief to protect the U.S. forces in the Far East, and their supply lines, might impel action if Formosa were attacked.

Secretary Dulles indicated that if Formosa were attacked in the near future, he would support the present orders to the Seventh Fleet, but stated that in proposing the treaty he was thinking of the long pull.

In closing, Secretary Dulles thanked the Joint Chiefs for their views. They had indicated that their views were not final or fully developed, because they had not had the essential information previously. Secretary Dulles agreed to provide copies of the proposals to the Chiefs. [2] Certain of the Chiefs left individual memoranda with the Secretary. [3] Also left was a statement by the Joint Strategic Survey Committee, [4] which had not been acted on by the JCS.

A. J. GOODPASTER
*Colonel, CE, U S Army*

---

[2] Copies of documents pertaining to the proposed UN resolution were sent to Radford with a covering memorandum from Walter K. Scott on Nov. 1; see footnote 3, Document 336.

[3] The only such memorandum found in Department of State files is the memorandum *infra*.

[4] Document 370.

## No. 375

Eisenhower Library, Eisenhower papers, Whitman file

*Memorandum of Discussion at the 221st Meeting of the National Security Council, Washington, November 2, 1954* [1]

TOP SECRET EYES ONLY

Present at the 221st Meeting of the Council were the President of the United States, presiding; the Secretary of State; the Secretary of Defense; the Director, Foreign Operations Administration; the Director, Office of Defense Mobilization. Also present were Assistant Secretary Rose for the Secretary of the Treasury; the Director, Bureau of the Budget; the Deputy Secretary of Defense; Assistant Secretary Milton for the Secretary of the Army; the Acting Secretary of the Navy; the Chairman, Joint Chiefs of Staff; the Chief of Staff, U.S. Army; the Chief of Naval Operations; General White for the Chief of Staff, U.S. Air Force; the Commandant, U.S. Marine Corps; the Acting Director of Central Intelligence; Robert Cutler, Special Assistant to the President; the Assistant to the President; the Deputy Assistant to the President; Robert R. Bowie, Department of State; the White House Staff Secretary; Bryce Harlow, Administrative Assistant to the President; the Executive Secretary, NSC; and the Deputy Executive Secretary, NSC.

There follows a summary of the discussion at the meeting and the main points taken.

*The Far East* (NSC 5429/2; NSC 146/2; NSC 166/1; Memos for NSC from Executive Secretary, subject: "U.S. Objectives and Courses of Action with Respect to Formosa and the Chinese Nationalist Government", dated September 28 and October 5, 1954; NSC Actions Nos. 1224, 1228, 1233–c, 1234, 1235, and 1258) [2]

The Acting Director of Central Intelligence first commented on new railroad developments in Communist China, one linking central China with the Trans-Siberian, and the other eventually running from Lauchou to Alma Ata. Thereafter, General Cabell read to the members of the Council a CIA intelligence estimate, prepared without consultation with the Intelligence Advisory Committee, on the Communist and non-Communist reactions to the courses of action proposed by the Secretary of State in his report to the

[1] Drafted by Gleason on Nov. 2.

[2] Regarding Lay's memoranda of Sept. 28 and Oct. 5, see footnote 5, Document 303, and footnote 1, Document 321, respectively. For NSC Action No. 1224, see footnote 9, Document 293. For NSC Action Nos. 1233, 1234, and 1235, see footnotes 7, 10, and 12, Document 322. For NSC Action No. 1258, see footnote 10, Document 364. For NSC Action No. 1228, see footnote 4, Document 302.

Council on October 28 (a UN resolution to maintain the *status quo* in the Nationalist-held offshore islands and a mutual defense treaty between the Chinese National Government and the Government of the United States). (A copy of this estimate is filed in the minutes of the meeting.) [3]

Thereafter, Mr. Cutler briefed the Council extensively on the Planning Board discussion of the proposals by the Secretary of State for seeking a UN resolution to maintain the *status quo* of the Nationalist-held offshore islands and for seeking to negotiate a mutual defense treaty between the Chinese National Government and the United States. (A copy of Mr. Cutler's brief is filed in the minutes of the meeting.) [4]

In the course of his briefing, Mr. Cutler was interrupted by the Secretary of State relative to the possibility that the Attorney General (who was not present at this meeting) might have doubts whether the President could legally act to commit U.S. forces to help repulse a Chinese Communist attack on Formosa without Congressional approval, even though the Senate had previously approved the mutual defense treaty. Secretary Dulles commented that in his opinion the President would have authority to act to commit U.S. forces if such action were necessary in order to preserve the vital interests of the United States. While it was desirable, continued Secretary Dulles, to bring Congress into the act, Congressional approval could not be made the *sine qua non* for protecting the national security of the United States.

After Mr. Cutler had completed the rest of his briefing, he suggested that the Secretary of State speak with respect to any further developments on the above two courses of action.

Secretary Dulles said that he had had only one additional thought with respect to these two courses of action—namely, that it might be desirable, in the text of the proposed mutual defense treaty with Formosa, to "fuzz up" to some extent the U.S. reaction with regard to a Chinese Communist attack on Formosa as such an attack would affect the Nationalist-held offshore islands. He read a paragraph to illustrate how this fuzzing up might be accomplished. According to this language the U.S. action specified in the treaty would not be specifically and explicitly limited to an attack on Formosa and the Pescadores, but would leave open to U.S. determination whether or not to construe an attack on the offshore islands as an attack on Formosa itself. The advantage of this fuzzing up

---

[3] *Infra.* Not attached to the source text.

[4] Not attached to the source text; a copy, headed "Briefing Notes," and dated Nov. 1, is filed with Document 365. The brief summarized a number of questions which members of the Planning Board had raised with regard to Dulles' proposals. (PPS files, lot 65 D 101, "China")

would be to maintain doubt in the minds of the Communists as to how the U.S. would react to an attack on the offshore islands.

Mr. Cutler inquired of Secretary Dulles how he would expect to explain to the Senate what was really involved in the treaty if the issue was thus fuzzed up. Secretary Dulles replied that he could make quite clear to the Senate Foreign Relations Committee in an executive session precisely what was involved in the fuzzy language. Mr. Cutler then pointed out that in all probability Senator Knowland would try to push the Secretary of State, in such an executive session, to the point of agreeing that the United States should and would defend these offshore islands. On the other hand, the President expressed the opinion that the Senate Committee would probably accept the proposal as made by the Secretary of State relative to the content of the treaty. The President did caution, however, that the text of the treaty should indicate that the United States must act in accordance with its constitutional processes.

Mr. Cutler then inquired of Secretary Dulles whether there was any truth in recent reports that Chiang Kai-shek was showing himself "a little restive" toward the proposal for UN action to maintain the *status quo* on the offshore islands. Secretary Dulles not only stated that these reports appeared to be accurate, but went on to say that he was no longer sure how the Generalissimo would react to the proposal for the conclusion of a mutual defense treaty covering Formosa when we actually got down to negotiating such a treaty. Up to now, the Generalissimo had favored the idea of such a treaty.

Mr. Cutler said that this was at least understandable, since the proposal for a treaty in effect confronted the Generalissimo with the question whether to withdraw his troops from the offshore islands or to expose them to destruction at the hands of the Chinese Communists without much prospect of U.S. armed support. Secretary Dulles agreed that this, in essence, was the question that Chiang would have to face.

Turning to Admiral Radford, Secretary Dulles said he wished to put the following question to the Joint Chiefs of Staff: Would it be desirable for the United States, in connection with the proposed defensive treaty, to stipulate that the Generalissimo must maintain a certain proportion of his existing military forces on the island of Formosa? If we did not so stipulate, Chiang could "gut" his strength on Formosa by sending the bulk of his troops now stationed on Formosa to the offshore islands. As he understood it, said Secretary Dulles, approximately one-third of the Nationalist forces were already deployed on the offshore islands. If still more were

sent, this would place an undue burden on the United States in its task of defending Formosa against Chinese Communist attack.

Secretary Wilson expressed the opinion that the Generalissimo could not send many more troops to the offshore islands for the simple reason that there wasn't sufficient room for them. Indeed, he thought that if the proposed UN resolution went through, Chiang was likely to pull back forces from the offshore islands to Formosa.

Mr. Cutler inquired of Admiral Radford whether, in the last analysis, the successful defense of Formosa against Chinese Communist attack would not depend upon air power. With certain qualifications, Admiral Radford replied that in the long run air power would be decisive. On the other hand, if the United States guaranteed to defend Formosa in this mutual defense treaty, Chiang would be free to make use of a larger number of his own Nationalist troops to defend the off-shore islands. This he would tend to wish to do, despite the fact that he realizes in the long run that he would not be able to hold these off-shore islands without armed U.S. support. He would simply insist on putting up a good fight.

Secretary Dulles said that he had another document to supplement the intelligence estimate which General Cabell had read at the beginning of the meeting. This was a report which had been sent him yesterday from the British Embassy in Washington, giving the views of the British Chargé d'Affaires at Peiping, Mr. Trevelyan, with regard to the consequences for British relations with Communist China of British support for the two U.S. courses of action mentioned above. [5] In substance, Trevelyan warned against the danger for Sino-British relations of British support for these two proposed U.S. courses of action.

Secretary Wilson inquired whether we had put our resolution before the UN as yet. Secretary Dulles replied in the negative, but pointed out that the text of the resolution which would be presented had been agreed to by our friends in the UN. Sir Anthony Eden was not, however, willing to commit himself to the actual introduction of the resolution, and receipt of this estimate from Trevelyan would probably serve to cause the British to drag their feet still more.

Secretary Wilson then inquired what the United States would do if, once this resolution had been introduced into the UN, the Soviets countered it with a suggestion that the United Nations be given authority to make a disposition of the Nationalist-held offshore islands. Would the United States go along with this?

---

[5] See footnote 2, Document 373.

Secretary Dulles replied that we would not go along with such a proposal, and that we were making every effort to limit the area comprised in the resolution.

Secretary Wilson went on to point out his view that the danger in this proceeding was that somehow Formosa would slip back into the possession of mainland China. If this could be done without a loss of U.S. face, it would be all right, since this is the solution we would have ultimately to acquiesce in.

Secretary Dulles pointed out that the basic fact with respect to the situation in the Nationalist-held offshore islands was that these islands could not be held against an all-out Chinese Communist assault short of involving the United States in general war with Communist China. The President observed that when we talk of general war with Communist China, what we mean is general war with the USSR also. Once this is made clear, the next question is, where does the U.S. want to launch an attack upon such an enemy coalition? The President said he was not sure, but almost certainly not in the area of the offshore islands. In any event, if the Soviets did not abide by their treaty with Communist China and go to war in support of their Chinese ally, the Soviet empire would quickly fall to pieces.

Secretary Dulles admitted the President's point, but said that on the other hand, the American experience in Korea plainly demonstrated the great difficulties inherent in limited war. Mr. Cutler pointed out that he had in mind something a little different from limited war along the Korean lines. It was rather the courses of action proposed by General Bradley when he was Chairman of the Joint Chiefs of Staff, on how best for the U.S. to meet a renewal of Communist aggression in Korea. Secretary Dulles replied that that was all very well, but that one thing leads to another, and after all, as General MacArthur had so emphatically stated, victory is the only proper objective in war. Nevertheless, said Mr. Cutler, he questioned whether all-out war and victory was the right answer to armed aggression in the kind of world we lived in at this moment.

Secretary Wilson added that he was at least sure of one thing, and that was that there was no sense in going to general war over these small islands.

Mr. Cutler then asked whether we could not now hear the views of Admiral Radford and the Chiefs of Staff. Admiral Radford asked what views Mr. Cutler wanted to hear, and pointed out that it was quite difficult to know where to start. Admiral Radford then said that the Chiefs had been in complete agreement throughout the course of the whole last year on at least one major point—namely, that if you look at our position in the Far East on a piecemeal basis, you don't get very far towards a profitable discussion. The

Chiefs unanimously believed that our first task was to decide on the best over-all position for the United States vis-à-vis the Far East. They were very much concerned that our total military position in the Far East not be weakened. This chiefly meant that we should retain Japan and the off-shore island chain, of which, of course, Formosa was a part. Admiral Radford went on to emphasize that the attitude of the Joint Chiefs of Staff on retaining Formosa was not altruistic, but based solidly on the security interests of the United States. The two new moves proposed by the Secretary of State, he continued, involved intangibles the impact of which was very difficult to estimate. Nevertheless, the Chiefs continued to be split on the question of committing U.S. armed forces to defend the Nationalist-held offshore islands. Moreover, the Chiefs had not discussed the proposed mutual defense treaty with Formosa until last Friday morning (October 29), and they had therefore had no time to send forward a formal paper containing their views. At the Council meeting on the prior Thursday (October 28) the other Chiefs of Staff (who actually knew less about developments than he himself) had realized for the first time that the President had authorized the conclusion of a mutual defense treaty with Formosa if necessary. So, in a sense, concluded Admiral Radford, the Chiefs found themselves discussing something which had already been agreed upon. Nevertheless, there was still great concern in the minds of the Chiefs of Staff that the two policies originally proposed by the Secretary of State may eventuate in the total disintegration of the Chinese National Government on Formosa. From the military point of view such a development would jeopardize the entire U.S. military position in the Far East.

When he finished his comments, Admiral Radford suggested that the individual Chiefs of Staff be called upon to offer their own comments. He asked General Ridgway to speak first.

General Ridgway said that he had no specific comments to make at the present time, since a longer interval was needed to study the problem. However, he did agree, he said, with the remarks just made by Admiral Radford.

Admiral Carney said likewise that Admiral Radford had summed up his own views, except that he would like to stress the usefulness of these offshore islands in the cold war. Perhaps these islands were not vital to our national security, but they are none the less important. To relinquish them would have a profoundly adverse effect on our military position.

The President said that he was inclined to agree with the position taken by Admiral Radford and the other Chiefs with respect to the loss of Formosa. The word "jeopardize" was correct in describing the effect of its loss. The President observed that certain

people, back in 1952, had argued that to lose Formosa would be disastrous and decisive for the U.S. position in the Pacific. Indeed, they said it would be only a little less serious than the loss of Japan, and might force us to run out of the Pacific. The President disagreed with these statements. While the loss of Formosa would certainly be serious, it would not be so serious as the loss of Japan or the Philippines.

Asked for his opinion, General White said he merely wished to add, from the point of view of the Air Force, that these offshore islands were important adjuncts to air defense.

General Shepherd said he just wanted to point out that the loss of these offshore islands would represent one more step in giving in to the Communists.

Mr. Cutler summed up the foregoing recital of the views of the individual Chiefs of Staff by saying that they amounted to a JCS position that the offshore islands should be included within the cover to be provided by the mutual defense treaty between the United States and the Chinese National Government. However, Mr. Cutler said he presumed that the President had decided this particular issue at the Denver meeting when he had indicated that the United States would not use its armed forces to defend these islands against Chinese Communist attack.

Secretary Dulles agreed with Mr. Cutler that the decision reached at the Denver meeting was still valid. Secretary Dulles pointed out that public opinion throughout the free world would be against the United States if we went to war with Communist China over these offshore islands. The effect in Japan would be extremely bad. In short, if one paid any attention to the repercussions outside the immediate area concerned, it was plain that the price we would have to pay to defend the islands was too high. The Chinese Communists would win the sympathy of all our allies, and there would be devastating repercussions both in Europe and in Japan. On the other hand, continued Secretary Dulles, as far as holding Formosa and the Pescadores (as opposed to the offshore islands) was concerned, he had no reservations whatsoever. Moreover, he believed Formosa and the Pescadores could be securely held by such a treaty of mutual defense as he was advocating. Essentially we were facing the same predicament in Formosa as we were facing in South Korea. Both Rhee and Chiang want to take the offensive against Communist China. The Chinese Nationalist Foreign Minister, George Yeh, had informed him repeatedly that there was no real hope for the future of the Chinese National Government in the absence of general war. Moreover, what was going to hold and save Formosa was not any local military power in and around the

island, but rather the deterrent power represented by the massive retaliatory capacity of the United States.

Mr. Cutler said that he judged that Secretary Dulles did not share Admiral Radford's feeling that the UN resolution and the mutual defense treaty would have a serious effect on the morale of the Chinese Nationalists and might result in the dissolution of the Formosa government. Secretary Dulles replied that the carrying out of these two policies might indeed result in a loss of Chinese Nationalist morale; but that such a loss would not be fatal to the United States because the true defense of Formosa really depended on the United States rather than on the Nationalist forces.

In support of the position taken by Secretary Dulles with regard to the effect on world opinion if the United States went to war with Communist China over the offshore islands, the President warned the members of the Council not for one minute to overlook the effect of such a move on U.S. public opinion. The people of the United States won't go to war for "captious reasons", and the Council would do well to remember this.

The President then speculated on the type of war we might have to undertake if the Chinese Communists did attack Formosa itself. It might so happen that they would concentrate their forces in such a way that the United States would be in a position to deliver a massive attack on the Communist forces with such effect that we could sit back for a couple of years without necessarily following up our blow.

Governor Stassen pointed out that if the objective we sought was simply to stabilize the situation in this sore-point area and to avoid general war with Communist China, would not this objective be better served by avoiding all fuzziness and making our position vis-à-vis the offshore islands perfectly clear? Such a clarification would also better serve the President with respect to his relations with the Congress. Such a clarification of our attitude might prove worthwhile even if it were to cause Chiang Kai-shek to remove some of his troops from the offshore islands where they were now based. After all, we should not permit Chiang to station his forces where we know we do not propose to assist him if his troops in these exposed spots are attacked. In fact, said Governor Stassen, we should examine the possibility of extending this clarification policy to include a range of other matters over and above the offshore islands, such as the embargo on trade between the West and Communist China, et cetera. Dr. Flemming asked Governor Stassen if he would exclude the offshore islands from the U.S. defense perimeter. Governor Stassen replied in the affirmative, provided the UN so desired and determined.

In reply to Governor Stassen's proposal for extending the clarification process, Secretary Dulles pointed out the extreme delicacy of the negotiations which would be undertaken on behalf of the defensive treaty and the UN resolution. If, in addition to trying to settle these two difficult matters, we added a number of other issues to be settled with the Chinese Nationalists all at once, the effect on the morale of the Nationalist Government might well prove shattering. Secretary Dulles said he much preferred to deal with these issues, therefore, one at a time.

Secretary Wilson said that it didn't seem to him to make much difference, because where else could Chiang go other than Formosa? The President quickly pointed out that the Generalissimo could quit us cold and renounce Formosa itself if pushed too far.

Secretary Dulles then summarized his position by stating that his main objection to "getting sucked into the offshore islands" was the isolated position into which this would put the United States. Our enemies would have the backing of world opinion, and there would even be a serious division in domestic U.S. opinion. On the other hand, the situation could of course change, and if it should come to pass that the rest of the free world came to regard the defense of these offshore islands as right and proper, then the United States might decide to take a different position regarding them. We needed flexibility in our policies in order to be ready to meet such eventualities. Meanwhile, continued Secretary Dulles, going back to an earlier point, he hoped that in our discussion with the Chinese Nationalists on the defense treaty, we could include something which would prevent the Chinese Nationalists from sending more troops and more matériel to these offshore islands. He asked Admiral Radford if the United States were in a position to prevent Chiang from increasing the garrisons on these islands.

Admiral Radford explained once again, as he had at an earlier Council meeting, our military assistance to the garrisons on the offshore islands and how, lately at any rate, the Chinese Nationalists had not indicated a desire to reinforce their offshore island garrisons except in the case of the Tachens. Secretary Wilson asked whether this strengthening of the Tachens had not been done at the request of the United States. Admiral Radford replied in the affirmative.

Dr. Flemming quoted paragraph 1-a of the U.S. courses of action vis-à-vis Communist China contained in NSC 5429/2, which read in part: "Reduce the power of Communist China in Asia even at the risk of but without deliberately provoking war, etc.". Dr. Flemming said that this still seemed to him the best position for the United States to take toward Communist China, and he assumed that it was still valid policy. Mr. Cutler reminded Dr. Flemming that

when the Council adopted NSC 5429/2 the section on Communist China from which Dr. Flemming had quoted had not been given final approval. The Secretary of State had not expressed his agreement to this section of the paper, and still had the question of our policy toward Communist China under review. Dr. Flemming said that he understood this, but was sure that at the Denver meeting there had been a general consensus in favor of the policy outlined in this paragraph.

Mr. Cutler said he thought this too strong a way to state the case, and that our actual policy was more accurately expressed in NSC 166/1, paragraph 4, which read in part: "In the absence of further Chinese Communist aggression or a basic change in the situation, the policy of the United States toward Communist China should currently be to seek, by means short of war, to reduce the relative power position of Communist China in Asia, etc.". Secretary Dulles expressed agreement with Mr. Cutler's contention.

Secretary Wilson said that as far as this business of the UN resolution was concerned, he could not conceive of the United Nations bothering itself with the Nationalist-held offshore islands. Indeed, it would be very difficult to expect the UN to do other than offer the U.S. a face-saver to cover the return of these islands to the Chinese Communists.

The President agreed that it was pretty hard to see any other way out, what with these islands being so small and so very close to the Chinese mainland. Enlarging on his argument, the President said that what we were at present doing was watching a situation develop day by day in Communist China. The latest development was the huge Chinese population revealed by the publication yesterday of the census figures for China. [6] The world would be hard put to it to defend these islands against so huge a country. At the present moment we might be able to use the situation in these islands to better our power position in the Far East; but over the long haul our great problem in defending these islands would be presented by our own American Constitution. Accordingly, about all we could do in this matter of the islands was to keep talking about the situation in the National Security Council as we were doing today, and trust to our negotiator (Secretary Dulles) to do the best he could. Certainly the Council could not lay down a hard and fast course for him to follow. The President said that of course he was willing to go to any lengths to defend the vital interests of the United States. But as soon as you attempted to define what these

[6] The Nov. 2 *New York Times* reported that the National Bureau of Statistics in Peking had announced the previous day that the population of the Chinese mainland was 582,603,417.

vital interests were, you got into an argument. By and large, it was better to accept some loss of face in the world than to go to general war in the defense of these small islands.

Secretary Dulles then warned that the odds were in fact less than even that the United States would be able to carry to a successful conclusion the two policies that he had outlined, viz., the UN resolution and the mutual defense treaty with Formosa, in view of the growing British attitude of doubt, and in view of the likelihood that the Chinese Nationalists would oppose these two policies. This left no other recourse than for the United States to "probe and probe" in order to discover the best way out. Somehow or other we must make clear to the United States and to the whole world that we are not going to permit Formosa and the Pescadores to fall into hostile hands even if we must risk war to prevent this. Furthermore, we must tidy up our constitutional position at home so that the President can go promptly to the defense of Formosa and the Pescadores if they are attacked. The situation there simply did not lend itself at the moment to a comprehensive and clearcut solution. The only recourse, therefore, was to probe and explore this situation.

The President commented that if he saw a massive Chinese Communist attack developing, he would act at once and thereafter put his actions up to Congress for its judgment, even if this were to risk his impeachment.

Secretary Wilson said that if the UN resolution for the islands became too difficult, we should seek other alternatives. The Director of the Budget [7] expressed the strong conviction that U.S. public opinion would never in the world support a decision by the United Nations that the offshore islands should be defended against Communist attack by use of U.S. armed forces. The President commented that to judge from the flow of letters and communications to the White House, all the pressure was on the side of peace, peace, peace.

Secretary Dulles thought it worth while to point out that the present Administration is trying to do something that had never been tried by any prior Administration. We are trying to get the American public to realize that you do not always actually secure peace by simply being a pacifist and talking peace. In the past, after the conclusion of wars in which we were involved, we have destroyed the military establishment we built up in the course of the war and then turned round and called for peace and disarmament. Secretary Dulles cited examples from past history. Now we were trying to educate people to face the fact that we need a strong

[7] Rowland R. Hughes, Director of the Bureau of the Budget.

military establishment if we hope to maintain the peace. It was a difficult and novel thing to most people to realize that the will and ability to fight for vital things is really indispensable to the maintenance of peace.

Secretary Wilson commented that the other side of the medal was that we ought not to rattle the saber. The President asked the Council if they realized that no further back than June 1933—not so terribly long ago—the United States of America had an army of 118,750 men, including the Air Force. We now had armed forces of about 3,500,000.

Mr. Cutler said that he failed to detect from the Council's discussion any disposition to depart from the course of action with respect to the UN resolution and the mutual defense treaty agreed to at the previous meeting of the NSC. Accordingly, he presumed that these policies were reaffirmed. Nevertheless, he went on to point out that he was disturbed by the several conflicts in our existing policy papers on the Far East, and asked Secretary Dulles if it would not be desirable for the Planning Board to undertake a new paper which would sketch the broad principles and policy of the United States vis-à-vis the Far East. Secretary Dulles replied that he thought this would be a very desirable job for the Planning Board, although it would be a very tough one, and the Planning Board would have his sympathy. It was hard to find any element of fixity in such a fluid situation as confronted us in the Far East. Nevertheless, it was one of the great advantages of a democratic government that our policies could have flexibility, whereas the totalitarian government of the Soviet Union required fixity of position.

Noting that the Japanese Prime Minister would be coming to Washington next week, [8] Secretary Dulles said that the new Planning Board paper should take account of Japan, that great prize in the Far East, and that the paper should also take account of the impact on Europe of policies of the United States in the Far East. Governor Stassen recommended that the new paper also include the problem of U.S. trade policies toward Communist China. Secretary Dulles said we need not worry about that, for trade policies with Communist China would certainly be raised by Prime Minister Yoshida when he reached Washington. The Japanese were currently expecting more from a revival of trade with Communist China than they would actually ever get.

The President spoke with some warmth on the necessity of our doing something to improve Japan's trading position in the Far

[8] Japanese Prime Minister Shigeru Yoshida visited Washington Nov. 8–13.

East. We cannot, he insisted, expect the Japanese to go on the way they are now going.

[Here follows a brief discussion pertaining to Indochina.]

*The National Security Council:* [9]

a. Noted an oral briefing by the Acting Director of Central Intelligence with respect to new railroad construction in Communist China.

b. Continued discussion of further aspects of the subject, including views of the Chairman and the members of the Joint Chiefs of Staff and of the Acting Director of Central Intelligence, as orally expressed at the meeting, on the report by the Secretary of State on U.S. policies and relations to China (Chinese Nationalists and Chinese Communists) distributed at the 220th meeting of the Council.

c. Reaffirmed NSC Action No. 1258–c, after consideration of the above-mentioned views of the Chairman and the members of the Joint Chiefs of Staff and of the Acting Director of Central Intelligence.

d. Directed the NSC Planning Board to prepare, for early Council consideration, a broad restatement of U.S. policy toward the Far East, including controls on trade with Communist China, in the light of the above discussion, recent decisions, and the existing situation.

e. Noted that the President is appointing General J. Lawton Collins as the Special Representative of the United States in charge of all U.S. activities in Free Vietnam.

*Note:* The action in c above subsequently transmitted to the Secretary of State.

S. EVERETT GLEASON

---

[9] The lettered subparagraphs constitute NSC Action No. 1259. (S/S–NSC (Miscellaneous) files, lot 66 D 95, "Record of Actions by the National Security Council, 1954")

Digitized by Google

formal perpetuation of the US commitment, approval will be generally forthcoming, if the defensive character of the Treaty and particularly the restraints on Chinese Nationalist action can be well established. In these circumstances, the Treaty, together with US support of UN action on the off-shore islands, will be regarded as a welcome indication that the US is not bent on policies involving considerable risk of war. It will seem a contribution to the current relaxation of East-West tensions.

7. To South Korea, the new US policy will be unwelcome because it will indicate an end of the chances of strong US pressure on Communist China. To India, on the other hand, the Treaty with Chiang will appear as further evidence of US imperialistic interference in Asian affairs. Non-Communist Southeast Asia might interpret the restraints on the Nationalists as indicating a weakening of US determination to resist Communism, but we believe that the importance of this factor would depend primarily on subsequent US policies in this area.

8. The Overseas Chinese have been increasingly looking to the Communist Chinese rather than the Nationalists as the effective power in China. The Treaty would tend to increase this trend. However, whether the Overseas Chinese become an increasing source of instability will depend far more on the policy of the local governments toward them.

9. By virtually ending the possibility of Chiang's "return to the mainland", the Treaty would tend to undermine the guiding principle and the chief inspiration of Chiang's regime. Readjustment would be difficult. Possibilities for Communist subversion on Formosa would be increased. Developments on the island would depend greatly on the nature of US policy toward the Formosa government under the new circumstances.

C. P. CABELL
*Lieutenant General, USAF*

---

## No. 377

793.00/11-254

*Memorandum of Conversation, by the Director of the Office of Chinese Affairs (McConaughy)*

TOP SECRET
LIMITED DISTRIBUTION

[WASHINGTON], November 2, 1954.

Subject: Proposed Mutual Security Pact; Prospective New Zealand UN Resolution

Participants: Dr. George Yeh, Chinese Foreign Minister

Ambassador Koo
Secretary Dulles
Assistant Secretary Robertson
Mr. Phleger, Legal Adviser
Mr. McConaughy, Chinese Affairs

Foreign Minister Yeh said that he has been engaged at the UN in New York for the past few days in working on problems created by the introduction of the "piracy" and "aggression" charges by the Soviet Union. [1] He said that his Government would have to object to the Soviet complaint of U.S. "aggression" in the Far East, although he understood that the U.S. Delegation would not oppose inscription.

The Secretary said that he supposed we would have to take turns defending each other.

In response to a question from Dr. Yeh, the Secretary said he understood the New Zealanders were holding their proposed resolution in suspense for the time being. The Secretary thought that the bombing of the Tachen Islands on November 1 might tend to accelerate action in the UN on the question of hostilities in the general area. If the initiative were not taken by New Zealand, some other country might make a move.

Yeh said that he feared "the cat was already out of the bag" in reference to the New Zealand resolution. He understood that Walter Winchell had said over TV on Sunday night October 31st that the U.S. would support an Australian or New Zealand resolution which would call for a cessation of hostilities around Formosa. He said that a correspondent had put a question along this line to him at the UN headquarters yesterday. The correspondent seemed to have the particulars fairly straight. The correspondent referred to the alleged deal as "a sort of Panmunjom business". Yeh said he told the reporter that this was all news to him. He could not comment. Nothing of the sort had been brought to his attention.

Dr. Yeh inquired if the Secretary was ready to get down to a discussion of a bilateral defense treaty. He hoped that it might now be possible to discuss the rudiments—the basic principles—of such a treaty, unless the Secretary felt he needed more time to consider the matter.

The Secretary said he was ready to begin discussions. He had given the matter much thought since it was first broached by Amb. Koo nearly a year ago. He had expressed some doubts then as to the wisdom of a treaty, because it would have to be limited to Formosa and the Pescadores. It would be undesirable to exclude other

[1] See footnote 3, Document 317, and footnote 2, Document 347.

Chinese territory in a formal document but it would be unavoidable. A Treaty, if concluded, would be substituted for the Executive Order to the 7th Fleet. In some respects it was better to transform the 7th Fleet Directive into a formal treaty commitment. The Department had no objection in principle to proceeding with treaty negotiations if that was the desire of the Chinese Government. The Secretary said that he and his associates had been experimenting with the use of the U.S. Mutual Defense Treaty of 1952 with the Philippines [2] as a basis. He showed Dr. Yeh and Ambassador Koo marked up copies of the text of the Philippine Treaty indicating contemplated changes to make it fit the China situation. He said that he had not yet completed his consultations with members of the Senate Foreign Relations Committee. Presumably all would be back for the Special Senate Session next Monday, Nov. 8. He was quite prepared to start preliminary negotiations now along the lines which had been indicated. This was assuming the Chinese Government wished to go ahead as the Generalissimo had indicated to him last September and to Mr. Robertson in October.

The Secretary explained that he was proposing the following changes in the language of the Philippine Treaty:

In the Preamble—delete the word "historic" in paragraph 2, and strike out the final substantive paragraph.

In Article III—strike out the last clause, ending the Article with "regarding the implementation of this Treaty".

In Article IV—substitute "on Formosa or the Pescadores" for "in the Pacific area on either of the Parties".

Strike out Article V altogether and substitute a new Article V as follows:

> "The Republic of China grants to the United States of America the right to dispose such United States land, air and sea forces in and about Formosa and the Pescadores as may be required for their defense, as determined by mutual agreement."

Article VII—substitute "Republic of China" for "Republic of the Philippines", and "Taipei" for "Manila" at the end of the paragraph.

The Secretary recalled that there was ample precedent for limiting the territory to be protected by a defense treaty. He cited the North Atlantic Treaty Organization, [3] where not all the territories of the signatories were included, and the Manila Pact as to Southeast Asia, where, for instance, Hong Kong was not included.

---

[2] The text of the treaty, signed at Washington on Aug. 30, 1951, is in 3 UST (pt. 3) 3947; TIAS 2529.

[3] For the text of the North Atlantic Treaty, signed at Washington on Apr. 4, 1949, see 4 Bevans 828; TIAS 1964.

Amb. Koo asked if there had not been some sort of agreement supplemental to the Defense Treaty with the Philippines?

Secretary Dulles said that there had been something in the nature of implementation of Art. III. It amounted to nothing more than an arrangement for more elaborate consultation. [4] The Filipinos had wanted something a little more detailed in reference to consultation, particularly since more formal procedures were set up in the Security treaty between the U.S., Australia, and New Zealand. They had mentioned a Council, but the U.S. had taken the position that no Council was appropriate unless there were three or more parties. The implementation of Article III consisted of nothing more than a "dressing up" of the provisions of the treaty. It was pure scenery, without any additional substance. There was no new commitment or enlargement of the Treaty commitment. It was just a new costume, a little more tinsel on the tree.

Dr. Yeh said that he would like to study the U.S. treaty proposal for one or two days. He said that Amb. Koo would want to talk with Mr. Robertson about the treaty ideas held by the Chinese Government. As to substance, the Chinese ideas ran very much along the same lines as the U.S. Government's.

Secretary Dulles said that he thought it was important to make it clear to all that the U.S. regarded Formosa and the Pescadores as an integral part of the chain off the Mainland of Asia which the U.S. considers important to its security. The chain runs from the Aleutians through the Japanese Islands, South Korea, the Ryukyus, Formosa, the Philippines, part of Southeast Asia, Australia and New Zealand. This is an area the U.S. regards as so vital, it would fight to protect it from hostile occupation. Although the U.S. would of course be guided by the advice of its responsible military leaders, it could be assumed that the U.S. would not be likely to limit itself in case of attack to a static defense. The U.S. would be disposed to strike back at the source of aggression. The Secretary said that the Republic of China in the U.S. view stood in the same position as the other Governments of the area included in this chain. The proposed treaty would extend protection to Formosa and the Pescadores, but not the off-shore islands which would remain in the same status that they now have. He still thought that UN action to deter attacks against the off-shore islands would be useful. The U.S. military experts believe that it would not be possible to defend the offshore islands without taking measures against the Mainland which would entail the risk of general war

[4] The arrangement under reference was agreed upon in the summer of 1954; documentation is scheduled for publication in volume XII, Part 2.

with Communist China. The U.S. for its part is not prepared to engage in actions at this time which might lead to general war with Communist China. If the Chinese Communists can be put in the position of again defying the UN, there would be a much better chance of enlisting worldwide sympathy and support for the cause of Nationalist China.

The Secretary said he thought it was unnecessary for him to reaffirm that there is no ulterior motive on the part of the U.S. in supporting the New Zealand proposal. "We are dedicated almost as fully as you to the proposition that Formosa must never be permitted to fall into hostile hands." The U.S. has a deep sense of loyalty to the Chinese Government as a staunch ally which has suffered much. The U.S. Government does not exclude the possibility—perhaps even the probability—that the Chinese Communist regime will suffer vicissitudes which could result in its collapse or disintegration, or a split-up following a revolt. Rival factions in the regime might turn against each other. Hence, the U.S. must follow a policy of opportunism. The U.S. would be prepared to play a part in hastening the process of disintegration when the right time comes, but it is important not to move prematurely. We must await a propitious moment for action when such action would not be likely to provoke war with the Soviet Union. The U.S. would have to accept war if the Soviet Union starts hostilities, but the U.S. must not incite it. Subject to the necessary congressional authorization, the U.S. is prepared to proceed now with a defensive treaty covering Formosa and the Pescadores.

Dr. Yeh said that his Government was under no illusion that it now had the capacity to undertake a Mainland adventure. At present his Government was concentrating on a build-up of its armed forces, stabilization of its economy, and certain basic political reforms on the island. At the same time the Secretary would understand why Chinese must object to any treaty, agreement or resolution which would have implications or connotations tending to confine Free China to the island of Formosa forever. Any agreement or resolution affecting Free China must be pinpointed so as to avoid this connotation. Even without a UN resolution world opinion might swing in favor of the Republic of China if the Communists keep on attacking free China territory. If a UN resolution is introduced, the Communists would be able to exploit it. Their exploitation would not only be harmful to his Government but might boomerang on the U.S. Government.

Mr. Robertson said that our UN Delegation has counted the votes and is confident that it can maintain control of the resolution. It is very doubtful if the resolution would ever come to a vote. The odds are all in favor of contemptuous rejection by the Commu-

nist side. The Communists violently rejected the authority of the UN in Korea. They would have to take an even stronger position against recognition of UN authority as to the off-shore Chinese islands, which they consider an integral part of China and an internal domestic question. It is inconceivable that they could agree that Chinese territory is subject to the adjudication and jurisdiction of the UN. It is difficult to understand why the Chinese Government does not see it this way.

Dr. Yeh said he agreed up to a point. But the wording of the New Zealand resolution as he understood it was undesirable in some respects. The effect of the resolution was wider than the U.S. intended.

Mr. Robertson felt that in any event the Chinese Government would be in a stronger moral position after the resolution was introduced.

The Secretary said that it would be an excellent thing if we could live without taking any chances. Unfortunately we must all take a certain number of chances—certainly including the Republic of China. He thought the odds in favor of the New Zealand resolution turning out well were at least 10 to 1 and maybe 50 to 1. It would be a good thing if we could eliminate even that one adverse chance. Since we could not, the slight risk was well worth taking.

The Secretary said that the formulation of the New Zealand resolution had been subject to U.S. influence. The origin of the general idea could be traced to many quarters. But the specific approach was in accordance with U.S. ideas. The U.S. had recommended and would agree only to a limited formulation. We could not control discussion and debate of course, but we felt confident that we could control the substance of the resolution. The resolution would tend to tie the Communists down. With effective control by us all along the line, tremendous improvement in the situation of the Chinese Government could be anticipated. It was almost certain the outlook would be much better than it would be if we had to contend with the sort of resolution that Nehru for instance might propose.

Amb. Koo asked if the British and the French Governments were aware of the proposed New Zealand initiative?

Secretary Dulles said so far as he knew the French were not informed. The British were informed in a general way. In response to a query from the Ambassador as to the British reaction, the Secretary said the British were not happy about the proposal and so far were not committed to support it.

Dr. Yeh said he realized that the Secretary might consider the Chinese reaction to the New Zealand proposal a curious one. However, the Chinese were bound to be a little sensitive where their vital interests were concerned, and perhaps a little suspicious. He

was not referring of course to American Government officials when he mentioned suspicion.

Secretary Dulles said he understood of course that the Foreign Minister was not referring to the President, himself or Mr. Robertson when he mentioned suspicion. He could not blame the Chinese for being suspicious in general. Much had happened to the Chinese Government which justified it in looking closely at every angle of any proposal which concerned it in an important way. He felt it was almost certain that the Soviet Union would feel that it had to veto the New Zealand resolution or argue that the Security Council had no jurisdiction and then walk out. The Communists would be placed in the position of being a mere pleader before the bar of justice, with the Chinese Nationalists, as members of the Security Council, sitting in judgment on them at the bar of justice. It was inconceivable that the Communists could accept such a situation. There was every likelihood that the New Zealand initiative could be shaped up as a useful political move. If the New Zealand move was not made, some worse move by a less friendly country could be anticipated. The U.S. would prefer to see the initiative taken under auspices that the U.S. can control.

Dr. Yeh asked if the New Zealand resolution was stalled for the present?

The Secretary said that it was, at U.S. request. We had requested New Zealand to defer action because the Generalissimo wished that a treaty announcement be made before the resolution was introduced. The Secretary remarked that U.S. ability to continue the stall diminished as military activity around the off-shore islands tended to heighten. He said that the Department has drafted a statement about the prospect of a treaty which could be brought out on short notice if necessary.

Dr. Yeh said that his Government would suggest a reference in the Treaty preamble to the general sovereignty of the Republic of China over all the territory of China. The necessary restrictions on the territory to be defended under the treaty could be made in the particular article defining the scope of application. He thought that we could distinguish between the area to be protected and the area over which China is recognized as having sovereignty. The particular article limiting the area to be defended could provide for subsequent agreement as to whether additional territory should come within the scope of the Treaty.

The Secretary said that we could not rely on leaving further areas open to coverage by subsequent Executive agreement. It was doubtful whether the Senate would delegate such authority to the President. We would require a fairly close definition of the mutual defense area.

Dr. Yeh said he was very glad to have the U.S. draft language of a treaty. He wanted to give it more thought. The Chinese Government would draw up its version of a public statement announcing the intention to negotiate a treaty. Then the two sides could compare notes.

Secretary Dulles said that events might force our hands. He did not want to rush the Chinese Government. He admitted the U.S. had taken considerable time. But if the Chinese Government could now move rapidly in view of the time it had already had to consider the question, the common interest would be served. A UN move might develop at any time.

The Secretary said that he hoped to have a meeting with the Far Eastern Subcommittee of the Senate Foreign Relations Committee soon after the Senate convened in special session on November 8. In response to a question from the Foreign Minister as to the effect the election might have on his consultations with the Senate, the Secretary pointed out that there would be no change in the composition of the Senate at the special session. The newly elected Senators would not take office until January. He recalled that he had said to the Foreign Minister earlier that if there were a shift of leadership in the Senate, as a result of the election, he would want to bring in the prospective majority leader more fully. This would be Senator Johnson of Texas.

Amb. Koo asked if it was definitely planned to announce the Treaty before the New Zealand resolution was introduced.

Secretary Dulles said this was correct. But we had to be certain that we would be able to agree on a treaty before any announcement was made. It would be catastrophic if an announcement should be made which was not followed up by actual signature of a treaty. This would leave the Chinese Government very vulnerable. A failure on this would make both sides look foolish. It would disclose a weakness and lack of harmony which would be most hurtful. We must be sure that our positions are very close and are fully reconcilable before any announcement is made.

Dr. Yeh said that his Government wanted to reach an agreement on a treaty as soon as possible—regardless of the proposed New Zealand resolution. The Generalissimo had expressed the hope to Mr. Robertson that the New Zealand proposal could be abandoned. The Generalissimo had practically pleaded that this be done. The Generalissimo had indicated that the Government might have to oppose the resolution unless a treaty announcement came first. It was hoped that both sides could proceed rapidly with the treaty.

Secretary Dulles said that he believed if necessary we could stop the New Zealand resolution. But we could not stop some other delegation from submitting a resolution in a form we could not support

and under circumstances which we could not control. The question was, should we rally support behind a proposal which promised to pay big dividends, or should we let the initiative pass to a less friendly delegation?

Mr. Robertson recalled that the Generalissimo at one stage said that he would not be disposed to oppose the New Zealand resolution if the treaty negotiations could be announced previously or simultaneously. The Generalissimo thought that if the Treaty could be announced beforehand it would offset the bad psychological effects which he thought the resolution would have. Afterwards the Generalissimo had expressed deep suspicion that the resolution was a result of Communist machinations by the Soviet Union working through Krishna Menon [5] to the British to the New Zealanders. The U.S. knows that this is not true. New Zealand is willing and anxious to cooperate with us and to insure that the resolution will remain pinpointed at the off-shore islands. The Communists could not possibly accept because acceptance would amount to denial of their whole position as tenaciously held for years. He expressed regret that the Chinese Government had difficulty in seeing it that way. He felt they would be missing a big chance if they did not accept it.

Dr. Yeh referred to the Chinese Communist air bombing of the Tachen Islands on November 1. He had received telegrams on the subject that morning which indicated an attack in three waves by Soviet made bombers and escort fighters. This was a continuation of the assault of Quemoy which began on September 3 when the island was bombed continuously for 7 hours by artillery. He did not think it was right for the resolution to blame the Chinese Government, along with the Chinese Communists for creating a threat to peace and security when the Chinese Communists were the sole instigators of the fighting. He thought that if the New Zealand resolution were amended to place the blame on the Chinese Communists, and if the reference to peaceful methods of settlement could be eliminated, then a good moral effect might be achieved and the resolution might be worthy of support.

Secretary Dulles said we could do what was possible but some things were impossible. He felt that we could not muster the necessary support in the UN if the resolution were cast in the terms suggested by the Foreign Minister. However the U.S. representative in his statement explaining the U.S. vote on the resolution would certainly take the position that the Communists were the aggressors and had initiated the attack.

---

[5] V. K. Krishna Menon, Chairman of the Indian Delegation to the Ninth Session of the UN General Assembly.

Dr. Yeh said that he could not feel that the resolution stated the case fairly when it put his Government on a par with the Chinese Communists as an equal offender, whose acts have threatened world peace and security.

Mr. Robertson remarked that the Chinese Government had taken actions, such as the interception of the Soviet and Polish vessels, which would seem to give some plausibility to a contention that both sides had used methods other than peaceful ones. The Chinese Government naval action had been very effective. But it would make more difficult any effort to change the language of the resolution.

It was agreed that Foreign Minister Yeh would continue conversations with Assistant Secretary Robertson as soon as he was ready. The Foreign Minister hoped that he would be able to participate in another meeting before his scheduled departure for Spain on November 5.

---

## No. 378

Eisenhower Library, Dulles papers, "Telephone Conversations"

*Memorandum of Telephone Conversations, Prepared in the Department of State* [1]

[WASHINGTON,] November 2, 1954—2:57 p.m.

*Telephone Call From Sec. Wilson*

W. said he has a message from Chase and Stump [2] that raises the question of some retaliatory action—W. thinks we should talk to the President. W. does not want to approve it, but it is something to be discussed. R. * told W. that we haven't the message yet. They want action against the mainland. The Sec. referred to an earlier cable from Rankin. [3] W. said they have asked our permission. They want to get in the clear. The Sec. said he would like the message sent over, W. said he would do so and will set up an appointment.

---

[1] Apparently prepared by Phyllis Bernau; the initials "pdb" appear on the source text.

[2] The message under reference was apparently a summary or repetition of telegram MG 9977 from Chief MAAG Formosa to CINCPAC, Nov. 1, which reported a conversation that day between Chase and Chinese Defense Minister Yu similar to Rankin's conversation with Yu reported in telegram 318 from Taipei, Document 374, and transmitted a Chinese request for U.S. concurrence in proposed Chinese Air Force attacks on several Chinese Communist airbases. (Taipei Embassy files, lot 62 F 83)

* Radford. [Note in the margin of the source text.]

[3] Presumably telegram 318, Document 374.